



RESERVE STUDY - MARCH 9, 2023

Commercial Owners Association (Sample Only)

3525 Main Street
Los Angeles, California

REVIEWED BY:

Les Weinberg, MBA, RS

DATE:

March 9, 2023



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OVERVIEW

This "Full" Reserve Study has been prepared for "Commercial Owners Association (Sample Only)" in Los Angeles, California. It consists of three main divisions:

The **Summary** is a brief synopsis of the results of the Reserve Study for compliance with the Civil Code.

The **Financial Analysis** utilizes the data gathered from the Condition Assessment. Future expenditures by year over a 30-year period are then projected. Specific information regarding methods and assumptions are delineated in that section.

The **Condition Assessment** is both an inventory and examination of the major components that are subject to deterioration within the 30-year scope of this study. Specific information regarding survey methods and assumptions are delineated in that section.

As the complete report contains details that may not be of interest to many individuals, **it is suggested that this "Overview" page, the "Component Inventory" and the "Summary" be distributed with the pro-forma operating budget.** Copies of the full Reserve Study should be made available upon request.

In addition to the legal objectives, the information contained in the study will provide a perpetual inventory of all common area components which can be expanded should the project undergo any future physical changes. Also, the detailed schedules will serve as an advance warning system with respect to major repair or replacement of the components. This will allow time for obtaining competitive bids, ultimately resulting in cost savings. As a planning tool, the study can be utilized as a "maintenance monitor", thus obtaining maximum life potential from the components and avoiding the "quick-fix" option that can occur due to a lack of funds.

One of the most important aspects of this report is that it will provide an educated estimate as to what the monthly reserve contribution realistically needs to be. This will ensure the physical well-being of the project while helping to avoid unexpected and costly special assessments.

It is important to note that the information contained herein includes estimates and assumptions based on various sources of information. While every effort has been made to ensure accurate results, this report reflects the judgment of Reserve Studies Inc. based on conditions present at the time of the study and should not be construed as a guarantee or assurance of future events. This study has been undertaken by an independent third party. RSI (Reserve Studies Inc.) has no involvement with the client outside of the scope of the services provided herein.

SUMMARY
COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)

ASSUMPTIONS:

(A) FISCAL (12 MONTH) PERIOD RESERVE STUDY IS TO COVER:	1/1/2024	through	12/31/2024
(B) INFLATION FACTOR (30 year average CPI per Bureau of Labor Statistics):			2.49%
(C) INTEREST % ON RESERVE FUNDS (unless provided, assumed to be 1%):			3.0000%
(D) BEGINNING RESERVE BALANCE PER ASSOCIATION AS OF:	1/1/2024		\$375,000
(E) NUMBER OF UNITS:			21

ANALYSIS OF MONTHLY <u>RESERVE</u> CONTRIBUTION	PERIOD			TOTAL	PER UNIT ¹
(F) CURRENTLY BUDGETED PER ASSOCIATION:	1/1/2023	through	12/31/2023	\$1,880.00	\$89.52
(G) RECOMMENDED TO BUDGET (see Funding Plan #3²):	1/1/2024	through	12/31/2024	\$2,641.40	\$125.78
(H) <u>DOLLAR</u> INCREASE / (DECREASE) ("G" less "F"):	1/1/2024	through	12/31/2024	\$761.40	\$36.26
(I) <u>%</u> INCREASE / (DECREASE) ("H" divided by "F"):	1/1/2024	through	12/31/2024	40.50%	40.50%
(J) SPECIAL ASSESSMENT (ANNUAL) - IN ADDITION TO "G":	1/1/2024	through	12/31/2024	\$0.00	\$0.00
(K) FUTURE <u>ANNUAL</u> % INCREASES / (DECREASES):	1/1/2025	through	12/31/2026	40.50%	40.50%
	1/1/2027	through	12/31/2053	2.10%	2.10%

ANALYSIS OF MONTHLY <u>ASSESSMENT</u> ("DUES"):	PERIOD			TOTAL	PER UNIT ¹
(L) CURRENTLY BUDGETED PER ASSOCIATION:	1/1/2023	through	12/31/2023	\$10,075.88	\$479.80
(M) RESERVE CONTRIBUTION <u>%</u> (item "F" divided by "L"):	1/1/2023	through	12/31/2023	18.66%	18.66%
(N) % CHANGE IN ASSESSMENT ("H" divided by "L") (if recommended reserve contribution implemented)	1/1/2024	through	12/31/2024	7.56%	7.56%

OVERAGE / (DEFICIT):	PERIOD			TOTAL	PER UNIT ¹
(between "actual" and "ideal" reserve balance)	1/1/2023	through	12/31/2023	(\$80,241)	(\$3,821)

COST OF COMPONENTS THAT NEED TO BE REPLACED WITHIN 5 YEARS	\$300,473.25
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PERCENT FUNDED³

as of 1/1/2024	82.37%
as of 12/31/2024 (if Funding Plan #3 ² recommended above is followed)	80.16%

FOOTNOTES:

1. Per Unit amounts reflect "Total" amounts divided by units - no adjustments made for variable rate assessments.
2. Funding Plan #3 reflects minimum funding and may only marginally cover total annual expenditures in some years.
3. Actual reserve balance (item "D") divided by accumulated depreciation (per schedule).

FINANCIAL ANALYSIS

This **Financial Analysis** reveals the financial ramifications over a 30-year projection resulting from the Condition Assessment, and consists of the following schedules:

- 1) **COMPONENT INVENTORY** - Lists all the components compiled from the Condition Assessment, including their quantity, typical useful lives, estimated remaining lives and average costs. Also provided for each component is an allocation of the beginning reserve balance, annual depreciation, accumulated depreciation, and monthly contributions.

FUNDING PLANS / ILLUSTRATIONS - Four funding plans / illustrations are provided to illustrate the effects of various levels of reserve contributions versus anticipated reserve expenditures. They include 30 years of activity, are detailed on an **annual** basis, and include interest income earned on reserve funds (net of taxes), which can offset the amount of contributions required.
- 2) **FUNDING ILLUSTRATION #1** - This illustration assumes that the current reserve contribution will remain the same throughout the 30-year projection. In most cases this will not be sufficient to cover future reserve expenditures over the 30-year period. **This is not a recommended funding plan.**
- 3) **FUNDING ILLUSTRATION #2** - This illustration also assumes that the current reserve contribution will remain the same throughout the 30-year projection. However, special assessments are generated for any year that the reserve balance would otherwise drop below \$0.00. **This is not a recommended funding plan**
- 4) **FUNDING PLAN #3** - This plan increases (or sometimes decreases) current reserve contributions as necessary to cover all future expenditures and achieve 100% funding at least by the end of the 30-year projection. It most fairly matches the depreciation of the common components and the enjoyment of the benefits. **This is a recommended funding plan** and fulfills the requirement of the California Civil Code with respect to distribution of a full funding plan.
- 5) **FUNDING ILLUSTRATION #4** - This illustration dictates what the reserve contribution would need to be to achieve annual 100% funding.
- 6) **COMPARISON OF FUNDING PLANS / ILLUSTRATIONS** - Details comparison of the 4 funding plans / illustrations on an annual basis, including the **monthly** reserve contributions and the percent funded for each year.
- 7) **GRAPH: FUNDING PLANS / ILLUSTRATIONS 1-4 vs. RESERVE EXPENDITURES** - Shows the cash receipts (reserve contributions plus interest income) in each of the 4 funding plans / illustrations versus the total reserve expenditures on an annual basis.
- 8) **GRAPH: FUNDING PLANS / ILLUSTRATIONS 1-4 vs. ACCUMULATED DEPRECIATION** - Shows the cash receipts versus the accumulated depreciation on an annual basis.
- 9) **RESERVE EXPENDITURES BY YEAR** – Details the component expenditures for each year they come due.
- 10) **COMPONENT ACCUMULATED DEPRECIATION ANALYSIS** – Calculates the accumulated depreciation for each component at year-end. The total accumulated depreciation per year is ideally the amount that should be in reserves and represents 100% funded. For example, if a component cost is \$1,000, has a useful life of 10 years and is 6 years old, then \$600 should be in reserves: \$1,000 divided by 10 years = \$100 per year x 6 years of depreciation.

COMPONENT INVENTORY

threshold = \$1,000

COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)

AS OF: 1/1/2024

CATEGORY / COMPONENT	ID#	APPROXIMATE QUANTITY	LIFE IN YRS		CURRENT COST	ANNUAL DEPRE	RESERVES			MONTHLY CONTRIBUTION	
			USEFUL	REMAIN			ACTUAL	ACCUM DEPRE	SURPLUS/ (DEFICIT)	CURRENT	RECOMMEND
ROOF/DECKS											
cap sheet roof	0101	60,950 sq ft	12	3	240,250 ¹	20,021	148,428	180,188	(31,760)	744.12	1,045.49
standing seam roof	0102	lifetime	30+	30+	0	0	0	0	0	0.00	0.00
skylights	0103	47 skylights	24	12	51,900 ⁴	2,163	21,376	25,950	(4,574)	107.17	150.57
STRUCTURE											
foundations/structural frame	0201	2 buildings	30+	30+	0	0	0	0	0	0.00	0.00
structural pest control	0202	lifetime	30+	30+	0	0	0	0	0	0.00	0.00
PAINT											
exterior flatwork	0301	39,650 sq ft	10	5	24,100 ³	2,410	9,926	12,050	(2,124)	49.76	69.92
interior flatwork	0302	operating budget	n/a	n/a	0	0	0	0	0	0.00	0.00
doors	0303	29 sides	5	0	1,550 ³	310	1,277	1,550	(273)	6.40	8.99
metal	0304	6,550 sq ft	5	2	8,350 ³	1,670	4,127	5,010	(883)	20.69	29.07
parking stripes	0305	160 spaces	5	1	3,550 ³	710	2,339	2,840	(501)	11.73	16.48
curbs	0306	950 lin ft	5	0	1,150 ³	230	947	1,150	(203)	4.75	6.67
ELECTRICAL											
fire alarm system	0401	2 systems	20	10	3,400 ⁴	170	1,400	1,700	(300)	7.02	9.86
lighting-exterior	0402	38 fixtures	20	19	9,150 ³	458	377	458	(81)	1.89	2.66
lighting-parking lot	0403	15 fixtures	25	11	15,250 ⁴	610	7,035	8,540	(1,505)	35.27	49.55
LANDSCAPE/ HARDSCAPE											
asphalt seal coat	0501	96,950 sq ft	5	1	6,750 ³	1,350	4,448	5,400	(952)	22.30	31.33
asphalt replacement	0502	96,950 sq ft	20	8	327,850 ¹	16,393	162,038	196,710	(34,672)	812.35	1,141.35
swales	0503	1,350 lin ft	30	12	15,250 ⁴	508	7,537	9,150	(1,613)	37.79	53.09
concrete channel drain	0504	operating budget	30+	30+	0	0	0	0	0	0.00	0.00
concrete flatwork	0505	operating budget	30+	30+	0	0	0	0	0	0.00	0.00
concrete block walls	0506	lifetime	30+	30+	0	0	0	0	0	0.00	0.00
irrigation controller	0507	1 @ 40 stations	15	3	3,000 ⁴	200	1,977	2,400	(423)	9.91	13.93
back flow preventers	0508	3 preventers	15	3	2,100 ⁴	140	1,384	1,680	(296)	6.94	9.75
major tree trimming/removal	0509	operating budget	n/a	n/a	0	0	0	0	0	0.00	0.00
landscape remodel	0510	operating budget	n/a	n/a	0	0	0	0	0	0.00	0.00

COMPONENT INVENTORYthreshold = \$1,000

COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)

AS OF: 1/1/2024

CATEGORY / COMPONENT	ID#	APPROXIMATE QUANTITY	LIFE IN YRS		CURRENT COST	ANNUAL DEPRE	RESERVES			MONTHLY CONTRIBUTION		
			USEFUL	REMAIN			ACTUAL	ACCUM DEPRE	SURPLUS/ (DEFICIT)	CURRENT	RECOMMEND	
MISCELLANEOUS												
mailboxes	0601	usps	n/a	n/a	0	0	0	0	0	0.00	0.00	
signs	0602	10 signs	20	9	600 ⁴	30	272	330	(58)	1.36	1.91	
CONTINGENCY RESERVE	0701	5% of total annual expenditures - see "Reserve Expenditures by Year" schedule for details				<u>135</u>	<u>135</u>	<u>111</u>	<u>135</u>	<u>(24)</u>	<u>0.56</u>	<u>0.78</u>
TOTALS					<u>714,335</u>	<u>47,507</u>	<u>375,000</u>	<u>455,241</u>	<u>(80,241)</u>	<u>1,880.00</u>	<u>2,641.40</u>	

COST SOURCES

- 1) In-house database. Developed from experience of costs for recent repairs, replacements, or restoration of components in similar properties.
- 2) Based on contractor proposal provided by association and/or information from association's vendors.
- 3) Based on actual cost of recent repair, replacement, or restoration of component - information provided by association.
- 4) National cost guide (National Construction Estimator, R.S. Means, LSI, etc.)
- 5) Per Mechanical Engineering Evaluation
- 6) Per information in previous non-RSI study

Percent Funded: ratio of the actual reserve balance to the component accumulated depreciation**82.37%**

COMPONENT INVENTORY ADDENDUM
COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)

CATEGORY / COMPONENT	ID#	APPROXIMATE QUANTITY	LIFE IN YRS		CURRENT COST
			USEFUL	REMAIN	
COMPONENTS WITH 0 YEARS REMAINING LIFE:					
doors	0303	29 sides	5	0	1,550
curbs	0306	950 lin ft	5	0	1,150
TOTAL					2,700
COMPONENTS WITH 1 YEAR REMAINING LIFE:					
parking stripes	0305	160 spaces	5	1	3,550
asphalt seal coat	0501	96,950 sq ft	5	1	6,750
TOTAL					10,300
COMPONENTS WITH 2 YEARS REMAINING LIFE:					
metal	0304	6,550 sq ft	5	2	8,350
TOTAL					8,350

COMPARISON OF FUNDING PLANS / ILLUSTRATIONS

COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)

FUNDING ILLUSTRATION #1			FUNDING ILLUSTRATION #2			FUNDING PLAN #3			FUNDING ILLUSTRATION #4		
YEAR	Monthly Contribution	Percent Funded	Monthly Contribution	Annual % Change	Percent Funded	Monthly Contribution	Annual % Change	Percent Funded	Monthly Contribution	Annual % Change	Percent Funded
1/1/2024	1,880	82.37%	1,880	0.00%	82.37%	2,641	40.50%	82.37%	11,037	487.05%	82.37%
1/1/2025	1,880	78.36%	1,880	0.00%	78.36%	3,711	40.50%	80.16%	4,401	-60.12%	100.00%
1/1/2026	1,880	74.55%	1,880	0.00%	74.55%	5,214	40.50%	80.15%	5,587	26.95%	100.00%
1/1/2027	1,880	69.80%	1,880	0.00%	69.80%	5,324	2.10%	81.25%	4,291	-23.19%	100.00%
1/1/2028	1,880	46.27%	1,880	0.00%	46.27%	5,435	2.10%	73.98%	4,768	11.11%	100.00%
1/1/2029	1,880	45.44%	1,880	0.00%	45.44%	5,550	2.10%	78.76%	4,796	0.59%	100.00%
1/1/2030	1,880	41.35%	1,880	0.00%	41.35%	5,666	2.10%	81.58%	4,944	3.08%	100.00%
1/1/2031	1,880	39.70%	1,880	0.00%	39.70%	5,785	2.10%	84.60%	6,699	35.50%	100.00%
1/1/2032	1,880	37.29%	14,380	664.89%	37.29%	5,907	2.10%	84.56%	4,688	-30.02%	100.00%
1/1/2033	1,880	-50.22%	1,880	-86.93%	0.02%	6,031	2.10%	70.67%	5,192	10.76%	100.00%
1/1/2034	1,880	-35.11%	1,880	0.00%	5.97%	6,157	2.10%	78.35%	5,449	4.95%	100.00%
1/1/2035	1,880	-26.57%	1,880	0.00%	8.52%	6,287	2.10%	83.20%	5,856	7.47%	100.00%
1/1/2036	1,880	-26.79%	6,788	261.08%	5.22%	6,419	2.10%	85.53%	5,499	-6.10%	100.00%
1/1/2037	1,880	-47.58%	1,880	-72.31%	0.02%	6,553	2.10%	86.69%	5,754	4.64%	100.00%
1/1/2038	1,880	-36.17%	1,880	0.00%	4.37%	6,691	2.10%	90.30%	7,527	30.81%	100.00%
1/1/2039	1,880	-26.71%	29,922	1491.58%	7.38%	6,832	2.10%	90.08%	5,666	-24.73%	100.00%
1/1/2040	1,880	-186.53%	1,880	-93.72%	0.01%	6,975	2.10%	83.38%	6,129	8.17%	100.00%
1/1/2041	1,880	-151.63%	1,880	0.00%	1.84%	7,122	2.10%	88.92%	6,294	2.70%	100.00%
1/1/2042	1,880	-124.85%	1,880	0.00%	3.76%	7,271	2.10%	92.88%	6,516	3.53%	100.00%
1/1/2043	1,880	-102.69%	1,880	0.00%	6.07%	7,424	2.10%	95.66%	6,662	2.23%	100.00%
1/1/2044	1,880	-88.25%	1,880	0.00%	6.64%	7,580	2.10%	97.72%	6,927	3.98%	100.00%
1/1/2045	1,880	-73.74%	1,880	0.00%	8.55%	7,739	2.10%	99.16%	7,109	2.62%	100.00%
1/1/2046	1,880	-65.27%	1,880	0.00%	8.38%	7,901	2.10%	100.23%	7,263	2.17%	100.00%
1/1/2047	1,880	-57.62%	1,880	0.00%	8.55%	8,067	2.10%	101.12%	7,500	3.26%	100.00%
1/1/2048	1,880	-48.73%	1,880	0.00%	10.14%	8,237	2.10%	101.73%	7,936	5.82%	100.00%
1/1/2049	1,880	-41.36%	1,880	0.00%	11.37%	8,410	2.10%	101.90%	7,985	0.61%	100.00%
1/1/2050	1,880	-41.64%	1,880	0.00%	8.26%	8,586	2.10%	102.26%	10,157	27.21%	100.00%
1/1/2051	1,880	-37.36%	34,155	1716.76%	7.75%	8,767	2.10%	100.53%	10,483	3.21%	100.00%
1/1/2052	1,880	-107.59%	57,113	67.22%	0.01%	8,951	2.10%	98.39%	7,567	-27.82%	100.00%
1/1/2053	1,880	-539.95%	1,880	-96.71%	0.01%	9,139	2.10%	100.73%	8,341	10.23%	100.00%

AVERAGE:

-51.16%

18.81%

89.46%

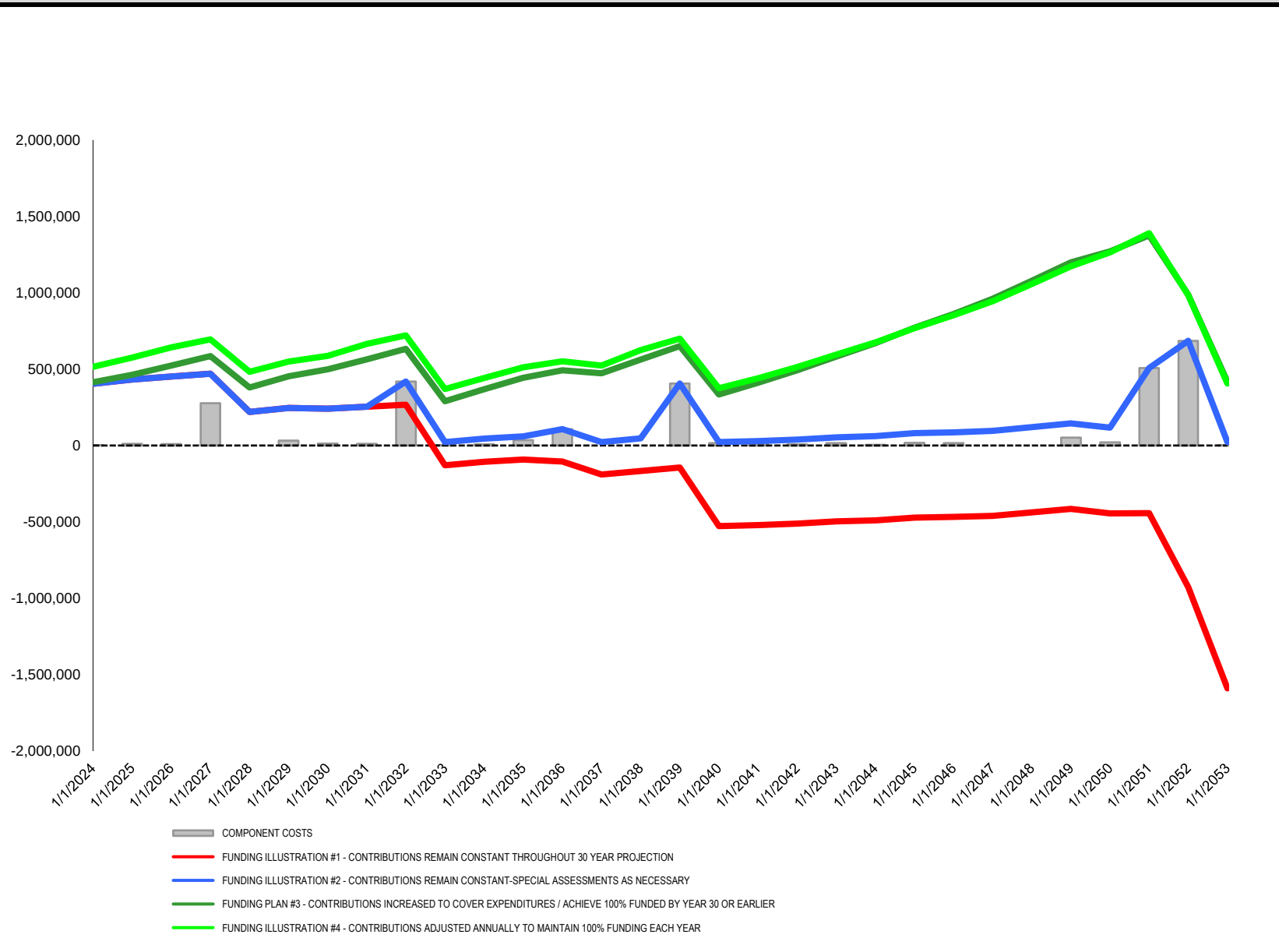
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FOOTNOTES:

(1) If there are special assessments, they are prorated on a monthly basis

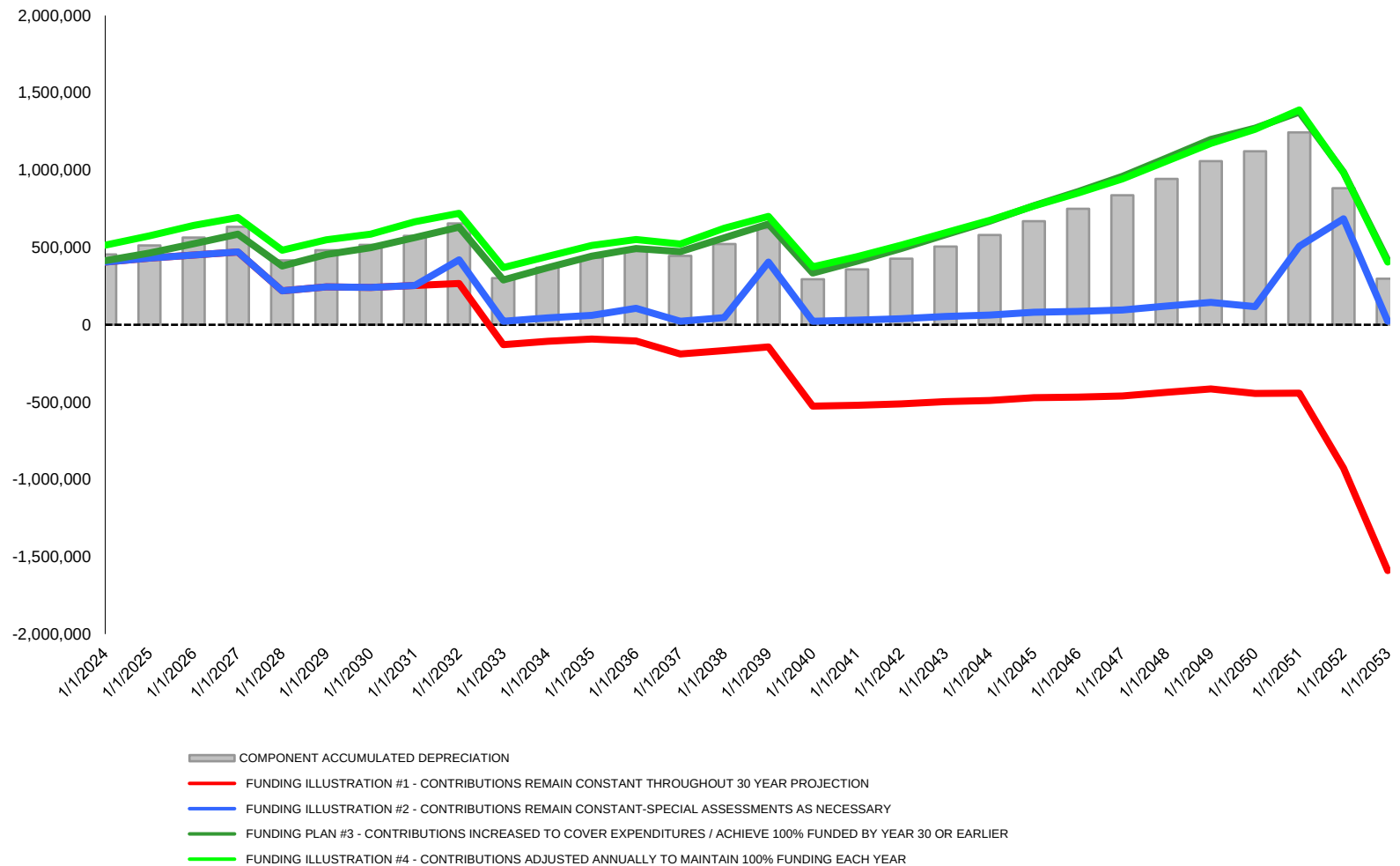
COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)

GRAPH 1: FUNDING PLAN / ILLUSTRATIONS 1-4 vs COMPONENT COSTS



COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)

GRAPH 2: FUNDING PLAN / ILLUSTRATIONS 1-4 vs COMPONENT DEPRECIATION



FUNDING ILLUSTRATION #1 (assumption: current contribution remains constant throughout 30 year projection) **ILLUSTRATION ONLY / NOT RECOMMENDED**
COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY) **ANNUAL BASIS**

DESCRIPTION	1/1/2024	1/1/2025	1/1/2026	1/1/2027	1/1/2028	1/1/2029	1/1/2030	1/1/2031	1/1/2032	1/1/2033	1/1/2034	1/1/2035	1/1/2036	1/1/2037	1/1/2038
RESERVE CONTRIBUTION	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560
SPECIAL ASSESSMENT	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
INTEREST INCOME (a)	7,061	7,477	7,842	5,771	3,747	3,937	4,017	4,294	846	0	0	0	0	0	0
COMPONENT COSTS (b)	(2,835)	(11,084)	(9,210)	(277,345)	0	(31,824)	(12,535)	(10,414)	(419,099)	(785)	(8,195)	(35,163)	(106,488)	0	0
NET RECEIPTS/(DISBURSE)	26,786	18,953	21,193	(249,014)	26,307	(5,327)	14,042	16,440	(395,693)	21,775	14,365	(12,603)	(83,928)	22,560	22,560
CASH BALANCE: begin year	375,000	401,786	420,740	441,933	192,919	219,226	213,898	227,940	244,380	(151,313)	(129,539)	(115,174)	(127,777)	(211,705)	(189,145)
CASH BALANCE: end year	401,786	420,740	441,933	192,919	219,226	213,898	227,940	244,380	(151,313)	(129,539)	(115,174)	(127,777)	(211,705)	(189,145)	(166,585)
COMPONENT ACCUMULATED DEPRECIATION (c)	455,241	512,748	564,357	633,176	416,960	482,426	517,326	574,128	655,380	301,311	368,979	433,533	476,997	444,953	522,878
less: beginning cash balance	375,000	401,786	420,740	441,933	192,919	219,226	213,898	227,940	244,380	(151,313)	(129,539)	(115,174)	(127,777)	(211,705)	(189,145)
over/(under) funded-total	(80,241)	(110,961)	(143,617)	(191,243)	(224,041)	(263,201)	(303,427)	(346,188)	(411,000)	(452,625)	(498,518)	(548,707)	(604,774)	(656,658)	(712,023)
" " " per unit	(3,821)	(5,284)	(6,839)	(9,107)	(10,669)	(12,533)	(14,449)	(16,485)	(19,571)	(21,554)	(23,739)	(26,129)	(28,799)	(31,269)	(33,906)

DESCRIPTION	1/1/2039	1/1/2040	1/1/2041	1/1/2042	1/1/2043	1/1/2044	1/1/2045	1/1/2046	1/1/2047	1/1/2048	1/1/2049	1/1/2050	1/1/2051	1/1/2052	1/1/2053
RESERVE CONTRIBUTION	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560
SPECIAL ASSESSMENT	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
INTEREST INCOME (a)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
COMPONENT COSTS (b)	(405,515)	(16,031)	(13,316)	(8,338)	(15,330)	(4,640)	(18,129)	(15,059)	0	0	(52,049)	(20,503)	(507,092)	(685,405)	(1,286)
NET RECEIPTS/(DISBURSE)	(382,955)	6,529	9,244	14,222	7,230	17,920	4,431	7,501	22,560	22,560	(29,489)	2,057	(484,532)	(662,845)	21,274
CASH BALANCE: begin year	(166,585)	(549,540)	(543,012)	(533,768)	(519,546)	(512,316)	(494,396)	(489,965)	(482,464)	(459,904)	(437,344)	(466,833)	(464,776)	(949,308)	(1,612,154)
CASH BALANCE: end year	(549,540)	(543,012)	(533,768)	(519,546)	(512,316)	(494,396)	(489,965)	(482,464)	(459,904)	(437,344)	(466,833)	(464,776)	(949,308)	(1,612,154)	(1,590,880)
COMPONENT ACCUMULATED DEPRECIATION (c)	623,716	294,612	358,113	427,533	505,955	580,536	670,500	750,712	837,375	943,710	1,057,298	1,121,048	1,244,126	882,343	298,575
less: beginning cash balance	(166,585)	(549,540)	(543,012)	(533,768)	(519,546)	(512,316)	(494,396)	(489,965)	(482,464)	(459,904)	(437,344)	(466,833)	(464,776)	(949,308)	(1,612,154)
over/(under) funded-total	(790,301)	(844,153)	(901,125)	(961,301)	(1,025,501)	(1,092,852)	(1,164,896)	(1,240,677)	(1,319,839)	(1,403,614)	(1,494,642)	(1,587,881)	(1,708,902)	(1,831,652)	(1,910,729)
" " " per unit	(37,633)	(40,198)	(42,911)	(45,776)	(48,833)	(52,041)	(55,471)	(59,080)	(62,849)	(66,839)	(71,173)	(75,613)	(81,376)	(87,222)	(90,987)

FOOTNOTES: (a) Interest income calculated on average balance less Federal & State income taxes of 39.3%
(b) See "Reserve Expenditures By Year Schedule"
(c) See "Component Accumulated Depreciation Analysis"

Rate: 3.0000%

FUNDING ILLUSTRATION #2 (assumption: current contribution constant - special assess as necessary) **ILLUSTRATION ONLY / NOT RECOMMENDED**
COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY) **ANNUAL BASIS**

DESCRIPTION	1/1/2024	1/1/2025	1/1/2026	1/1/2027	1/1/2028	1/1/2029	1/1/2030	1/1/2031	1/1/2032	1/1/2033	1/1/2034	1/1/2035	1/1/2036	1/1/2037	1/1/2038
RESERVE CONTRIBUTION	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560
SPECIAL ASSESSMENT	0	0	0	0	0	0	0	0	150,000	0	0	0	58,900	0	0
INTEREST INCOME (a)	7,061	7,477	7,842	5,771	3,747	3,937	4,017	4,294	2,222	201	536	562	227	209	627
COMPONENT COSTS (b)	(2,835)	(11,084)	(9,210)	(277,345)	0	(31,824)	(12,535)	(10,414)	(419,099)	(785)	(8,195)	(35,163)	(106,488)	0	0
NET RECEIPTS/(DISBURSE)	26,786	18,953	21,193	(249,014)	26,307	(5,327)	14,042	16,440	(244,317)	21,976	14,901	(12,041)	(24,801)	22,769	23,187
CASH BALANCE: begin year	375,000	401,786	420,740	441,933	192,919	219,226	213,898	227,940	244,380	63	22,038	36,939	24,898	97	22,866
CASH BALANCE: end year	401,786	420,740	441,933	192,919	219,226	213,898	227,940	244,380	63	22,038	36,939	24,898	97	22,866	46,053
COMPONENT ACCUMULATED DEPRECIATION (c)	455,241	512,748	564,357	633,176	416,960	482,426	517,326	574,128	655,380	301,311	368,979	433,533	476,997	444,953	522,878
less: beginning cash balance	375,000	401,786	420,740	441,933	192,919	219,226	213,898	227,940	244,380	63	22,038	36,939	24,898	97	22,866
over/(under) funded-total	(80,241)	(110,961)	(143,617)	(191,243)	(224,041)	(263,201)	(303,427)	(346,188)	(411,000)	(301,249)	(346,941)	(396,594)	(452,099)	(444,856)	(500,012)
" " " per unit	(3,821)	(5,284)	(6,839)	(9,107)	(10,669)	(12,533)	(14,449)	(16,485)	(19,571)	(14,345)	(16,521)	(18,885)	(21,529)	(21,184)	(23,810)

DESCRIPTION	1/1/2039	1/1/2040	1/1/2041	1/1/2042	1/1/2043	1/1/2044	1/1/2045	1/1/2046	1/1/2047	1/1/2048	1/1/2049	1/1/2050	1/1/2051	1/1/2052	1/1/2053
RESERVE CONTRIBUTION	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560	22,560
SPECIAL ASSESSMENT	336,500	0	0	0	0	0	0	0	0	0	0	0	387,300	662,800	0
INTEREST INCOME (a)	419	60	206	425	630	872	1,093	1,222	1,521	1,963	1,935	1,719	877	1	196
COMPONENT COSTS (b)	(405,515)	(16,031)	(13,316)	(8,338)	(15,330)	(4,640)	(18,129)	(15,059)	0	0	(52,049)	(20,503)	(507,092)	(685,405)	(1,286)
NET RECEIPTS/(DISBURSE)	(46,036)	6,589	9,450	14,647	7,860	18,792	5,524	8,723	24,081	24,523	(27,554)	3,775	(96,355)	(44)	21,469
CASH BALANCE: begin year	46,053	16	6,605	16,055	30,702	38,561	57,353	62,877	71,601	95,681	120,204	92,650	96,426	71	26
CASH BALANCE: end year	16	6,605	16,055	30,702	38,561	57,353	62,877	71,601	95,681	120,204	92,650	96,426	71	26	21,496
COMPONENT ACCUMULATED DEPRECIATION (c)	623,716	294,612	358,113	427,533	505,955	580,536	670,500	750,712	837,375	943,710	1,057,298	1,121,048	1,244,126	882,343	298,575
less: beginning cash balance	46,053	16	6,605	16,055	30,702	38,561	57,353	62,877	71,601	95,681	120,204	92,650	96,426	71	26
over/(under) funded-total	(577,664)	(294,596)	(351,508)	(411,478)	(475,253)	(541,974)	(613,147)	(687,835)	(765,774)	(848,029)	(937,094)	(1,028,398)	(1,147,701)	(882,273)	(298,549)
" " " per unit	(27,508)	(14,028)	(16,738)	(19,594)	(22,631)	(25,808)	(29,197)	(32,754)	(36,465)	(40,382)	(44,624)	(48,971)	(54,652)	(42,013)	(14,217)

FOOTNOTES: (a) Interest income calculated on average balance less Federal & State income taxes of 39.3%
(b) See "Reserve Expenditures By Year Schedule"
(c) See "Component Accumulated Depreciation Analysis"

Rate: 3.0000%

FUNDING PLAN #3 (assumption: current contribution increased as necessary to cover all expenditures)

RECOMMENDED TO BE ADOPTED

COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)

ANNUAL BASIS

DESCRIPTION	1/1/2024	1/1/2025	1/1/2026	1/1/2027	1/1/2028	1/1/2029	1/1/2030	1/1/2031	1/1/2032	1/1/2033	1/1/2034	1/1/2035	1/1/2036	1/1/2037	1/1/2038
RESERVE CONTRIBUTION	31,697	44,534	62,570	63,884	65,226	66,596	67,994	69,422	70,880	72,368	73,888	75,440	77,024	78,641	80,293
SPECIAL ASSESSMENT	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
INTEREST INCOME (a)	7,145	7,848	8,788	7,481	6,258	7,290	8,252	9,454	6,974	4,564	5,907	6,988	7,215	7,798	9,400
COMPONENT COSTS (b)	(2,835)	(11,084)	(9,210)	(277,345)	0	(31,824)	(12,535)	(10,414)	(419,099)	(785)	(8,195)	(35,163)	(106,488)	0	0
NET RECEIPTS/(DISBURSE)	36,007	41,298	62,149	(205,980)	71,484	42,062	63,711	68,462	(341,246)	76,147	71,600	47,264	(22,249)	86,440	89,692
CASH BALANCE: begin year	375,000	411,007	452,305	514,454	308,475	379,959	422,020	485,732	554,193	212,948	289,094	360,694	407,958	385,709	472,149
CASH BALANCE: end year	411,007	452,305	514,454	308,475	379,959	422,020	485,732	554,193	212,948	289,094	360,694	407,958	385,709	472,149	561,841
COMPONENT ACCUMULATED DEPRECIATION (c)	455,241	512,748	564,357	633,176	416,960	482,426	517,326	574,128	655,380	301,311	368,979	433,533	476,997	444,953	522,878
less: beginning cash balance	375,000	411,007	452,305	514,454	308,475	379,959	422,020	485,732	554,193	212,948	289,094	360,694	407,958	385,709	472,149
over/(under) funded-total	(80,241)	(101,741)	(112,051)	(118,721)	(108,485)	(102,468)	(95,305)	(88,396)	(101,187)	(88,364)	(79,885)	(72,839)	(69,039)	(59,244)	(50,729)
" " " per unit	(3,821)	(4,845)	(5,336)	(5,653)	(5,166)	(4,879)	(4,538)	(4,209)	(4,818)	(4,208)	(3,804)	(3,469)	(3,288)	(2,821)	(2,416)

DESCRIPTION	1/1/2039	1/1/2040	1/1/2041	1/1/2042	1/1/2043	1/1/2044	1/1/2045	1/1/2046	1/1/2047	1/1/2048	1/1/2049	1/1/2050	1/1/2051	1/1/2052	1/1/2053
RESERVE CONTRIBUTION	81,979	83,701	85,458	87,253	89,085	90,956	92,866	94,816	96,807	98,840	100,916	103,035	105,199	107,408	109,664
SPECIAL ASSESSMENT	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
INTEREST INCOME (a)	7,341	5,128	6,505	8,010	9,557	11,201	12,884	14,538	16,424	18,521	20,216	21,792	19,262	10,626	6,513
COMPONENT COSTS (b)	(405,515)	(16,031)	(13,316)	(8,338)	(15,330)	(4,640)	(18,129)	(15,059)	0	0	(52,049)	(20,503)	(507,092)	(685,405)	(1,286)
NET RECEIPTS/(DISBURSE)	(316,196)	72,797	78,647	86,925	83,313	97,517	87,621	94,295	113,232	117,361	69,083	104,324	(382,631)	(567,371)	114,890
CASH BALANCE: begin year	561,841	245,645	318,443	397,089	484,014	567,327	664,844	752,465	846,760	959,992	1,077,353	1,146,436	1,250,760	868,128	300,757
CASH BALANCE: end year	245,645	318,443	397,089	484,014	567,327	664,844	752,465	846,760	959,992	1,077,353	1,146,436	1,250,760	868,128	300,757	415,647
COMPONENT ACCUMULATED DEPRECIATION (c)	623,716	294,612	358,113	427,533	505,955	580,536	670,500	750,712	837,375	943,710	1,057,298	1,121,048	1,244,126	882,343	298,575
less: beginning cash balance	561,841	245,645	318,443	397,089	484,014	567,327	664,844	752,465	846,760	959,992	1,077,353	1,146,436	1,250,760	868,128	300,757
over/(under) funded-total	(61,875)	(48,967)	(39,671)	(30,444)	(21,941)	(13,209)	(5,657)	1,753	9,385	16,282	20,055	25,388	6,633	(14,215)	2,182
" " " per unit	(2,946)	(2,332)	(1,889)	(1,450)	(1,045)	(629)	(269)	83	447	775	955	1,209	316	(677)	104

FOOTNOTES:

(a) Interest income calculated on average balance less Federal & State income taxes of 39.3%

Rate: 3.0000%

(b) See "Reserve Expenditures By Year Schedule"

(c) See "Component Accumulated Depreciation Analysis"

FUNDING ILLUSTRATION #4 (assumption: contributions as necessary for 100% funding annually)
COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)

ILLUSTRATION ONLY - NOT RECOMMENDED
ANNUAL BASIS

DESCRIPTION	1/1/2024	1/1/2025	1/1/2026	1/1/2027	1/1/2028	1/1/2029	1/1/2030	1/1/2031	1/1/2032	1/1/2033	1/1/2034	1/1/2035	1/1/2036	1/1/2037	1/1/2038
RESERVE CONTRIBUTION	132,439	52,811	67,043	51,495	57,215	57,552	59,324	80,387	56,254	62,304	65,387	70,274	65,986	69,046	90,319
SPECIAL ASSESSMENT	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
INTEREST INCOME (a)	8,144	9,881	10,986	9,634	8,251	9,172	10,013	11,280	8,777	6,149	7,362	8,353	8,458	8,879	10,519
COMPONENT COSTS (b)	(2,835)	(11,084)	(9,210)	(277,345)	0	(31,824)	(12,535)	(10,414)	(419,099)	(785)	(8,195)	(35,163)	(106,488)	0	0
NET RECEIPTS/(DISBURSE)	137,748	51,609	68,819	(216,216)	65,466	34,899	56,802	81,252	(354,069)	67,668	64,554	43,463	(32,044)	77,925	100,838
CASH BALANCE: begin year	375,000	512,748	564,357	633,176	416,960	482,426	517,326	574,128	655,380	301,311	368,979	433,533	476,997	444,953	522,878
CASH BALANCE: end year	512,748	564,357	633,176	416,960	482,426	517,326	574,128	655,380	301,311	368,979	433,533	476,997	444,953	522,878	623,716
COMPONENT ACCUMULATED DEPRECIATION (c)	455,241	512,748	564,357	633,176	416,960	482,426	517,326	574,128	655,380	301,311	368,979	433,533	476,997	444,953	522,878
less: beginning cash balance	375,000	512,748	564,357	633,176	416,960	482,426	517,326	574,128	655,380	301,311	368,979	433,533	476,997	444,953	522,878
over/(under) funded-total	(80,241)	0	0	0	0	0	0	0	0	0	0	0	0	0	0
" " " per unit	(3,821)	0	0	0	0	0	0	0	0	0	0	0	0	0	0

DESCRIPTION	1/1/2039	1/1/2040	1/1/2041	1/1/2042	1/1/2043	1/1/2044	1/1/2045	1/1/2046	1/1/2047	1/1/2048	1/1/2049	1/1/2050	1/1/2051	1/1/2052	1/1/2053
RESERVE CONTRIBUTION	67,987	73,544	75,529	78,196	79,943	83,127	85,303	87,153	89,995	95,230	95,815	121,883	125,801	90,804	100,096
SPECIAL ASSESSMENT	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
INTEREST INCOME (a)	8,425	5,988	7,208	8,564	9,967	11,477	13,038	14,569	16,340	18,357	19,984	21,698	19,508	10,834	6,444
COMPONENT COSTS (b)	(405,515)	(16,031)	(13,316)	(8,338)	(15,330)	(4,640)	(18,129)	(15,059)	0	0	(52,049)	(20,503)	(507,092)	(685,405)	(1,286)
NET RECEIPTS/(DISBURSE)	(329,104)	63,501	69,420	78,422	74,581	89,964	80,212	86,663	106,335	113,588	63,751	123,078	(361,783)	(583,768)	105,254
CASH BALANCE: begin year	623,716	294,612	358,113	427,533	505,955	580,536	670,500	750,712	837,375	943,710	1,057,298	1,121,048	1,244,126	882,343	298,575
CASH BALANCE: end year	294,612	358,113	427,533	505,955	580,536	670,500	750,712	837,375	943,710	1,057,298	1,121,048	1,244,126	882,343	298,575	403,829
COMPONENT ACCUMULATED DEPRECIATION (c)	623,716	294,612	358,113	427,533	505,955	580,536	670,500	750,712	837,375	943,710	1,057,298	1,121,048	1,244,126	882,343	298,575
less: beginning cash balance	623,716	294,612	358,113	427,533	505,955	580,536	670,500	750,712	837,375	943,710	1,057,298	1,121,048	1,244,126	882,343	298,575
over/(under) funded-total	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
" " " per unit	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0

FOOTNOTES: (a) Interest income calculated on average balance less Federal & State income taxes of 39.3%
(b) See "Reserve Expenditures By Year Schedule"
(c) See "Component Accumulated Depreciation Analysis"

Rate: 3.0000%

RESERVE EXPENDITURES BY YEAR
COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)

1/1/2024 through 1/1/2038

EXPENDITURES	1/1/2024	1/1/2025	1/1/2026	1/1/2027	1/1/2028	1/1/2029	1/1/2030	1/1/2031	1/1/2032	1/1/2033	1/1/2034	1/1/2035	1/1/2036	1/1/2037	1/1/2038
ROOF/DECKS															
cap sheet roof	0	0	0	258,647	0	0	0	0	0	0	0	0	0	0	0
standing seam roof	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
skylights	0	0	0	0	0	0	0	0	0	0	0	0	69,716	0	0
STRUCTURE															
foundations/structural frame	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
structural pest control	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
PAINT															
exterior flatwork	0	0	0	0	0	27,253	0	0	0	0	0	0	0	0	0
interior flatwork	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
doors	1,550	0	0	0	0	1,755	0	0	0	0	1,985	0	0	0	0
metal	0	0	8,771	0	0	0	0	9,918	0	0	0	0	11,215	0	0
parking stripes	0	3,638	0	0	0	0	4,115	0	0	0	0	4,653	0	0	0
curbs	1,150	0	0	0	0	1,301	0	0	0	0	1,471	0	0	0	0
ELECTRICAL															
fire alarm system	0	0	0	0	0	0	0	0	0	0	4,349	0	0	0	0
lighting-exterior	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
lighting-parking lot	0	0	0	0	0	0	0	0	0	0	0	19,988	0	0	0
LANDSCAPE/ HARDSCAPE															
asphalt seal coat	0	6,918	0	0	0	0	7,823	0	0	0	0	8,848	0	0	0
asphalt replacement	0	0	0	0	0	0	0	0	399,142	0	0	0	0	0	0
swales	0	0	0	0	0	0	0	0	0	0	0	0	20,486	0	0
concrete channel drain	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
concrete flatwork	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
concrete block walls	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
irrigation controller	0	0	0	3,230	0	0	0	0	0	0	0	0	0	0	0
back flow preventers	0	0	0	2,261	0	0	0	0	0	0	0	0	0	0	0
major tree trimming/removal	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
landscape remodel	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
MISCELLANEOUS															
mailboxes	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
signs	0	0	0	0	0	0	0	0	0	748	0	0	0	0	0
CONTINGENCY RESERVE	135	528	439	13,207	0	1,515	597	496	19,957	37	390	1,674	5,071	0	0
(5% / year of annual expenditures)															
TOTAL	2,835	11,084	9,210	277,345	0	31,824	12,535	10,414	419,099	785	8,195	35,163	106,488	0	0

RESERVE EXPENDITURES BY YEAR
COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)

1/1/2039 through 1/1/2053

EXPENDITURES	1/1/2039	1/1/2040	1/1/2041	1/1/2042	1/1/2043	1/1/2044	1/1/2045	1/1/2046	1/1/2047	1/1/2048	1/1/2049	1/1/2050	1/1/2051	1/1/2052	1/1/2053	TOTAL
ROOF/DECKS																
cap sheet roof	347,443	0	0	0	0	0	0	0	0	0	0	0	466,727	0	0	1,072,817
standing seam roof	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
skylights	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	69,716
STRUCTURE																
foundations/structural frame	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
structural pest control	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
PAINT																
exterior flatwork	34,854	0	0	0	0	0	0	0	0	0	44,573	0	0	0	0	106,680
interior flatwork	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
doors	2,245	0	0	0	0	2,539	0	0	0	0	2,871	0	0	0	0	12,945
metal	0	0	12,682	0	0	0	0	14,342	0	0	0	0	16,218	0	0	73,146
parking stripes	0	5,263	0	0	0	0	5,952	0	0	0	0	6,732	0	0	0	30,353
curbs	1,663	0	0	0	0	1,880	0	0	0	0	2,126	0	0	0	0	9,591
ELECTRICAL																
fire alarm system	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	4,349
lighting-exterior	0	0	0	0	14,600	0	0	0	0	0	0	0	0	0	0	14,600
lighting-parking lot	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	19,988
LANDSCAPE/ HARDSCAPE																
asphalt seal coat	0	10,005	0	0	0	0	11,314	0	0	0	0	12,795	0	0	0	57,703
asphalt replacement	0	0	0	0	0	0	0	0	0	0	0	0	0	652,767	0	1,051,909
swales	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	20,486
concrete channel drain	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
concrete flatwork	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
concrete block walls	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
irrigation controller	0	0	0	4,670	0	0	0	0	0	0	0	0	0	0	0	7,900
back flow preventers	0	0	0	3,271	0	0	0	0	0	0	0	0	0	0	0	5,532
major tree trimming/removal	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
landscape remodel	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
MISCELLANEOUS																
mailboxes	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
signs	0	0	0	0	0	0	0	0	0	0	0	0	0	0	1,225	1,973
CONTINGENCY RESERVE	19,310	763	634	397	730	221	863	717	0	0	2,479	976	24,147	32,638	61	127,984
(5% / year of annual expenditures)																
TOTAL	405,515	16,031	13,316	8,338	15,330	4,640	18,129	15,059	0	0	52,049	20,503	507,092	685,405	1,286	2,687,672

**COMPONENT ACCUMULATED DEPRECIATION ANALYSIS
COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)**

1/1/2024 through 1/1/2038

COMPONENT	1/1/2024	1/1/2025	1/1/2026	1/1/2027	1/1/2028	1/1/2029	1/1/2030	1/1/2031	1/1/2032	1/1/2033	1/1/2034	1/1/2035	1/1/2036	1/1/2037	1/1/2038
cap sheet roof															
Useful life	12	12	12	12	12	12	12	12	12	12	12	12	12	12	12
Remaining life	3	2	1	0	11	10	9	8	7	6	5	4	3	2	1
Replacement cost	240,250	246,232	252,363	258,647	265,087	271,688	278,453	285,386	292,492	299,775	307,239	314,889	322,730	330,766	339,002
Accumulated depreciation	180,188	205,193	231,333	258,647	22,091	45,281	69,613	95,129	121,872	149,888	179,223	209,926	242,048	275,638	310,752
standing seam roof															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
skylights															
Useful life	24	24	24	24	24	24	24	24	24	24	24	24	24	24	24
Remaining life	12	11	10	9	8	7	6	5	4	3	2	1	0	23	22
Replacement cost	51,900	53,192	54,516	55,873	57,264	58,690	60,151	61,649	63,184	64,757	66,369	68,022	69,716	71,452	73,231
Accumulated depreciation	25,950	28,812	31,801	34,921	38,176	41,572	45,113	48,805	52,653	56,662	60,838	65,188	69,716	2,977	6,103
foundations/structural frame															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
structural pest control															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
exterior flatwork															
Useful life	10	10	10	10	10	10	10	10	10	10	10	10	10	10	10
Remaining life	5	4	3	2	1	0	9	8	7	6	5	4	3	2	1
Replacement cost	24,100	24,700	25,315	25,945	26,591	27,253	27,932	28,628	29,341	30,072	30,821	31,588	32,375	33,181	34,007
Accumulated depreciation	12,050	14,820	17,721	20,756	23,932	27,253	2,793	5,726	8,802	12,029	15,411	18,953	22,663	26,545	30,606
interior flatwork															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
doors															
Useful life	5	5	5	5	5	5	5	5	5	5	5	5	5	5	5
Remaining life	0	4	3	2	1	0	4	3	2	1	0	4	3	2	1
Replacement cost	1,550	1,589	1,629	1,670	1,712	1,755	1,799	1,844	1,890	1,937	1,985	2,034	2,085	2,137	2,190
Accumulated depreciation	1,550	318	652	1,002	1,370	1,755	360	738	1,134	1,550	1,985	407	834	1,282	1,752
metal															
Useful life	5	5	5	5	5	5	5	5	5	5	5	5	5	5	5
Remaining life	2	1	0	4	3	2	1	0	4	3	2	1	0	4	3
Replacement cost	8,350	8,558	8,771	8,989	9,213	9,442	9,677	9,918	10,165	10,418	10,677	10,943	11,215	11,494	11,780
Accumulated depreciation	5,010	6,846	8,771	1,798	3,685	5,665	7,742	9,918	2,033	4,167	6,406	8,754	11,215	2,299	4,712
parking stripes															
Useful life	5	5	5	5	5	5	5	5	5	5	5	5	5	5	5
Remaining life	1	0	4	3	2	1	0	4	3	2	1	0	4	3	2
Replacement cost	3,550	3,638	3,729	3,822	3,917	4,015	4,115	4,217	4,322	4,430	4,540	4,653	4,769	4,888	5,010
Accumulated depreciation	2,840	3,638	746	1,529	2,350	3,212	4,115	843	1,729	2,658	3,632	4,653	954	1,955	3,006

**COMPONENT ACCUMULATED DEPRECIATION ANALYSIS
COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)**

1/1/2024 through 1/1/2038

COMPONENT	1/1/2024	1/1/2025	1/1/2026	1/1/2027	1/1/2028	1/1/2029	1/1/2030	1/1/2031	1/1/2032	1/1/2033	1/1/2034	1/1/2035	1/1/2036	1/1/2037	1/1/2038
curbs															
Useful life	5	5	5	5	5	5	5	5	5	5	5	5	5	5	5
Remaining life	0	4	3	2	1	0	4	3	2	1	0	4	3	2	1
Replacement cost	1,150	1,179	1,208	1,238	1,269	1,301	1,333	1,366	1,400	1,435	1,471	1,508	1,546	1,584	1,623
Accumulated depreciation	1,150	236	483	743	1,015	1,301	267	546	840	1,148	1,471	302	618	950	1,298
fire alarm system															
Useful life	20	20	20	20	20	20	20	20	20	20	20	20	20	20	20
Remaining life	10	9	8	7	6	5	4	3	2	1	0	19	18	17	16
Replacement cost	3,400	3,485	3,572	3,661	3,752	3,845	3,941	4,039	4,140	4,243	4,349	4,457	4,568	4,682	4,799
Accumulated depreciation	1,700	1,917	2,143	2,380	2,626	2,884	3,153	3,433	3,726	4,031	4,349	223	457	702	960
lighting-exterior															
Useful life	20	20	20	20	20	20	20	20	20	20	20	20	20	20	20
Remaining life	19	18	17	16	15	14	13	12	11	10	9	8	7	6	5
Replacement cost	9,150	9,378	9,612	9,851	10,096	10,347	10,605	10,869	11,140	11,417	11,701	11,992	12,291	12,597	12,911
Accumulated depreciation	458	938	1,442	1,970	2,524	3,104	3,712	4,348	5,013	5,709	6,436	7,195	7,989	8,818	9,683
lighting-parking lot															
Useful life	25	25	25	25	25	25	25	25	25	25	25	25	25	25	25
Remaining life	11	10	9	8	7	6	5	4	3	2	1	0	24	23	22
Replacement cost	15,250	15,630	16,019	16,418	16,827	17,246	17,675	18,115	18,566	19,028	19,502	19,988	20,486	20,996	21,519
Accumulated depreciation	8,540	9,378	10,252	11,164	12,115	13,107	14,140	15,217	16,338	17,506	18,722	19,988	819	1,680	2,582
asphalt seal coat															
Useful life	5	5	5	5	5	5	5	5	5	5	5	5	5	5	5
Remaining life	1	0	4	3	2	1	0	4	3	2	1	0	4	3	2
Replacement cost	6,750	6,918	7,090	7,267	7,448	7,633	7,823	8,018	8,218	8,423	8,633	8,848	9,068	9,294	9,525
Accumulated depreciation	5,400	6,918	1,418	2,907	4,469	6,106	7,823	1,604	3,287	5,054	6,906	8,848	1,814	3,718	5,715
asphalt replacement															
Useful life	20	20	20	20	20	20	20	20	20	20	20	20	20	20	20
Remaining life	8	7	6	5	4	3	2	1	0	19	18	17	16	15	14
Replacement cost	327,850	336,013	344,380	352,955	361,744	370,751	379,983	389,445	399,142	409,081	419,267	429,707	440,407	451,373	462,612
Accumulated depreciation	196,710	218,408	241,066	264,716	289,395	315,138	341,985	369,973	399,142	20,454	41,927	64,456	88,081	112,843	138,784
swales															
Useful life	30	30	30	30	30	30	30	30	30	30	30	30	30	30	30
Remaining life	12	11	10	9	8	7	6	5	4	3	2	1	0	29	28
Replacement cost	15,250	15,630	16,019	16,418	16,827	17,246	17,675	18,115	18,566	19,028	19,502	19,988	20,486	20,996	21,519
Accumulated depreciation	9,150	9,899	10,679	11,493	12,340	13,222	14,140	15,096	16,091	17,125	18,202	19,322	20,486	700	1,435
concrete channel drain															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
concrete flatwork															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
concrete block walls															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0

COMPONENT ACCUMULATED DEPRECIATION ANALYSIS
COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)

1/1/2024 through 1/1/2038

COMPONENT	1/1/2024	1/1/2025	1/1/2026	1/1/2027	1/1/2028	1/1/2029	1/1/2030	1/1/2031	1/1/2032	1/1/2033	1/1/2034	1/1/2035	1/1/2036	1/1/2037	1/1/2038
irrigation controller															
Useful life	15	15	15	15	15	15	15	15	15	15	15	15	15	15	15
Remaining life	3	2	1	0	14	13	12	11	10	9	8	7	6	5	4
Replacement cost	3,000	3,075	3,152	3,230	3,310	3,392	3,476	3,563	3,652	3,743	3,836	3,932	4,030	4,130	4,233
Accumulated depreciation	2,400	2,665	2,942	3,230	221	452	695	950	1,217	1,497	1,790	2,097	2,418	2,753	3,104
back flow preventers															
Useful life	15	15	15	15	15	15	15	15	15	15	15	15	15	15	15
Remaining life	3	2	1	0	14	13	12	11	10	9	8	7	6	5	4
Replacement cost	2,100	2,152	2,206	2,261	2,317	2,375	2,434	2,495	2,557	2,621	2,686	2,753	2,822	2,892	2,964
Accumulated depreciation	1,680	1,865	2,059	2,261	154	317	487	665	852	1,048	1,253	1,468	1,693	1,928	2,174
major tree trimming/removal															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
landscape remodel															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
mailboxes															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
signs															
Useful life	20	20	20	20	20	20	20	20	20	20	20	20	20	20	20
Remaining life	9	8	7	6	5	4	3	2	1	0	19	18	17	16	15
Replacement cost	600	615	630	646	662	678	695	712	730	748	767	786	806	826	847
Accumulated depreciation	330	369	410	452	497	542	591	641	694	748	38	79	121	165	212
Contingency - 5%	135	528	439	13,207	0	1,515	597	496	19,957	37	390	1,674	5,071	0	0
TOTAL Accumulated depreciation	455,241	512,748	564,357	633,176	416,960	482,426	517,326	574,128	655,380	301,311	368,979	433,533	476,997	444,953	522,878

**COMPONENT ACCUMULATED DEPRECIATION ANALYSIS
COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)**

1/1/2039 through 1/1/2053

COMPONENT	1/1/2039	1/1/2040	1/1/2041	1/1/2042	1/1/2043	1/1/2044	1/1/2045	1/1/2046	1/1/2047	1/1/2048	1/1/2049	1/1/2050	1/1/2051	1/1/2052	1/1/2053
cap sheet roof															
Useful life	12	12	12	12	12	12	12	12	12	12	12	12	12	12	12
Remaining life	0	11	10	9	8	7	6	5	4	3	2	1	0	11	10
Replacement cost	347,443	356,094	364,961	374,049	383,363	392,909	402,692	412,719	422,996	433,529	444,324	455,388	466,727	478,349	490,260
Accumulated depreciation	347,443	29,675	60,827	93,512	127,788	163,712	201,346	240,753	281,997	325,147	370,270	417,439	466,727	39,862	81,710
standing seam roof															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
skylights															
Useful life	24	24	24	24	24	24	24	24	24	24	24	24	24	24	24
Remaining life	21	20	19	18	17	16	15	14	13	12	11	10	9	8	7
Replacement cost	75,054	76,923	78,838	80,801	82,813	84,875	86,988	89,154	91,374	93,649	95,981	98,371	100,820	103,330	105,903
Accumulated depreciation	9,382	12,821	16,425	20,200	24,154	28,292	32,621	37,148	41,880	46,825	51,990	57,383	63,013	68,887	75,015
foundations/structural frame															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
structural pest control															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
exterior flatwork															
Useful life	10	10	10	10	10	10	10	10	10	10	10	10	10	10	10
Remaining life	0	9	8	7	6	5	4	3	2	1	0	9	8	7	6
Replacement cost	34,854	35,722	36,611	37,523	38,457	39,415	40,396	41,402	42,433	43,490	44,573	45,683	46,821	47,987	49,182
Accumulated depreciation	34,854	3,572	7,322	11,257	15,383	19,708	24,238	28,981	33,946	39,141	44,573	4,568	9,364	14,396	19,673
interior flatwork															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
doors															
Useful life	5	5	5	5	5	5	5	5	5	5	5	5	5	5	5
Remaining life	0	4	3	2	1	0	4	3	2	1	0	4	3	2	1
Replacement cost	2,245	2,301	2,358	2,417	2,477	2,539	2,602	2,667	2,733	2,801	2,871	2,942	3,015	3,090	3,167
Accumulated depreciation	2,245	460	943	1,450	1,982	2,539	520	1,067	1,640	2,241	2,871	588	1,206	1,854	2,534
metal															
Useful life	5	5	5	5	5	5	5	5	5	5	5	5	5	5	5
Remaining life	2	1	0	4	3	2	1	0	4	3	2	1	0	4	3
Replacement cost	12,073	12,374	12,682	12,998	13,322	13,654	13,994	14,342	14,699	15,065	15,440	15,824	16,218	16,622	17,036
Accumulated depreciation	7,244	9,899	12,682	2,600	5,329	8,192	11,195	14,342	2,940	6,026	9,264	12,659	16,218	3,324	6,814
parking stripes															
Useful life	5	5	5	5	5	5	5	5	5	5	5	5	5	5	5
Remaining life	1	0	4	3	2	1	0	4	3	2	1	0	4	3	2
Replacement cost	5,135	5,263	5,394	5,528	5,666	5,807	5,952	6,100	6,252	6,408	6,568	6,732	6,900	7,072	7,248
Accumulated depreciation	4,108	5,263	1,079	2,211	3,400	4,646	5,952	1,220	2,501	3,845	5,254	6,732	1,380	2,829	4,349

**COMPONENT ACCUMULATED DEPRECIATION ANALYSIS
COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)**

1/1/2039 through 1/1/2053

COMPONENT	1/1/2039	1/1/2040	1/1/2041	1/1/2042	1/1/2043	1/1/2044	1/1/2045	1/1/2046	1/1/2047	1/1/2048	1/1/2049	1/1/2050	1/1/2051	1/1/2052	1/1/2053
curbs															
Useful life	5	5	5	5	5	5	5	5	5	5	5	5	5	5	5
Remaining life	0	4	3	2	1	0	4	3	2	1	0	4	3	2	1
Replacement cost	1,663	1,704	1,746	1,789	1,834	1,880	1,927	1,975	2,024	2,074	2,126	2,179	2,233	2,289	2,346
Accumulated depreciation	1,663	341	698	1,073	1,467	1,880	385	790	1,214	1,659	2,126	436	893	1,373	1,877
fire alarm system															
Useful life	20	20	20	20	20	20	20	20	20	20	20	20	20	20	20
Remaining life	15	14	13	12	11	10	9	8	7	6	5	4	3	2	1
Replacement cost	4,918	5,040	5,165	5,294	5,426	5,561	5,699	5,841	5,986	6,135	6,288	6,445	6,605	6,769	6,938
Accumulated depreciation	1,230	1,512	1,808	2,118	2,442	2,781	3,134	3,505	3,891	4,295	4,716	5,156	5,614	6,092	6,591
lighting-exterior															
Useful life	20	20	20	20	20	20	20	20	20	20	20	20	20	20	20
Remaining life	4	3	2	1	0	19	18	17	16	15	14	13	12	11	10
Replacement cost	13,232	13,561	13,899	14,245	14,600	14,964	15,337	15,719	16,110	16,511	16,922	17,343	17,775	18,218	18,672
Accumulated depreciation	10,586	11,527	12,509	13,533	14,600	748	1,534	2,358	3,222	4,128	5,077	6,070	7,110	8,198	9,336
lighting-parking lot															
Useful life	25	25	25	25	25	25	25	25	25	25	25	25	25	25	25
Remaining life	21	20	19	18	17	16	15	14	13	12	11	10	9	8	7
Replacement cost	22,055	22,604	23,167	23,744	24,335	24,941	25,562	26,198	26,850	27,519	28,204	28,906	29,626	30,364	31,120
Accumulated depreciation	3,529	4,521	5,560	6,648	7,787	8,979	10,225	11,527	12,888	14,310	15,794	17,344	18,961	20,648	22,406
asphalt seal coat															
Useful life	5	5	5	5	5	5	5	5	5	5	5	5	5	5	5
Remaining life	1	0	4	3	2	1	0	4	3	2	1	0	4	3	2
Replacement cost	9,762	10,005	10,254	10,509	10,771	11,039	11,314	11,596	11,885	12,181	12,484	12,795	13,114	13,441	13,776
Accumulated depreciation	7,810	10,005	2,051	4,204	6,463	8,831	11,314	2,319	4,754	7,309	9,987	12,795	2,623	5,376	8,266
asphalt replacement															
Useful life	20	20	20	20	20	20	20	20	20	20	20	20	20	20	20
Remaining life	13	12	11	10	9	8	7	6	5	4	3	2	1	0	19
Replacement cost	474,131	485,937	498,037	510,438	523,148	536,174	549,525	563,208	577,232	591,605	606,336	621,434	636,908	652,767	669,021
Accumulated depreciation	165,946	194,375	224,117	255,219	287,731	321,704	357,191	394,246	432,924	473,284	515,386	559,291	605,063	652,767	33,451
swales															
Useful life	30	30	30	30	30	30	30	30	30	30	30	30	30	30	30
Remaining life	27	26	25	24	23	22	21	20	19	18	17	16	15	14	13
Replacement cost	22,055	22,604	23,167	23,744	24,335	24,941	25,562	26,198	26,850	27,519	28,204	28,906	29,626	30,364	31,120
Accumulated depreciation	2,206	3,014	3,861	4,749	5,678	6,651	7,669	8,733	9,845	11,008	12,222	13,489	14,813	16,194	17,635
concrete channel drain															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
concrete flatwork															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
concrete block walls															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0

**COMPONENT ACCUMULATED DEPRECIATION ANALYSIS
COMMERCIAL OWNERS ASSOCIATION (SAMPLE ONLY)**

1/1/2039 through 1/1/2053

COMPONENT	1/1/2039	1/1/2040	1/1/2041	1/1/2042	1/1/2043	1/1/2044	1/1/2045	1/1/2046	1/1/2047	1/1/2048	1/1/2049	1/1/2050	1/1/2051	1/1/2052	1/1/2053
irrigation controller															
Useful life	15	15	15	15	15	15	15	15	15	15	15	15	15	15	15
Remaining life	3	2	1	0	14	13	12	11	10	9	8	7	6	5	4
Replacement cost	4,338	4,446	4,557	4,670	4,786	4,905	5,027	5,152	5,280	5,411	5,546	5,684	5,826	5,971	6,120
Accumulated depreciation	3,470	3,853	4,253	4,670	319	654	1,005	1,374	1,760	2,164	2,588	3,031	3,496	3,981	4,488
back flow preventers															
Useful life	15	15	15	15	15	15	15	15	15	15	15	15	15	15	15
Remaining life	3	2	1	0	14	13	12	11	10	9	8	7	6	5	4
Replacement cost	3,038	3,114	3,192	3,271	3,352	3,435	3,521	3,609	3,699	3,791	3,885	3,982	4,081	4,183	4,287
Accumulated depreciation	2,430	2,699	2,979	3,271	223	458	704	962	1,233	1,516	1,813	2,124	2,449	2,789	3,144
major tree trimming/removal															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
landscape remodel															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
mailboxes															
Useful life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Remaining life	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Replacement cost	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Accumulated depreciation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
signs															
Useful life	20	20	20	20	20	20	20	20	20	20	20	20	20	20	20
Remaining life	14	13	12	11	10	9	8	7	6	5	4	3	2	1	0
Replacement cost	868	890	912	935	958	982	1,006	1,031	1,057	1,083	1,110	1,138	1,166	1,195	1,225
Accumulated depreciation	260	312	365	421	479	540	604	670	740	812	888	967	1,049	1,135	1,225
Contingency - 5%	19,310	763	634	397	730	221	863	717	0	0	2,479	976	24,147	32,638	61
TOTAL Accumulated depreciation	623,716	294,612	358,113	427,533	505,955	580,536	670,500	750,712	837,375	943,710	1,057,298	1,121,048	1,244,126	882,343	298,575

CONDITION ASSESSMENT

This **Condition Assessment** is an evaluation of those major components that are subject to deterioration at a predictable rate and within a thirty (30) year projection of the study. A threshold of \$500 has been utilized in this report, and therefore any component with an average cost of less than that would be presumed to be funded from the operating account. Those elements with anticipated life expectancies of more than thirty (30) years (i.e. concrete surfaces, building superstructures, sewers, main electrical systems etc.) have, for the purposes of this study been defined as "lifetime components".

Estimated life expectancies and life cycles are based upon conditions that were readily visible and accessible at the time of the survey (which involved no destructive or intrusive methods of examination). RSI's field personnel access as many common areas as practicable. However, some random evaluation procedures were inevitable (i.e. not every square foot of roofing was inspected, and in the case of multiplicity of components, at least 25% were randomly observed). Only limited evaluations (i.e. less than 10% were made of exclusive use common areas, as these could only be properly accessed via the "separate interests". All quantities, types, and descriptions of components, where practical, were verified by field observation. Although the survey may identify design and/or installation deficiencies with certain components, this is done so in a limited manner. It is not the intent of this report to provide a comprehensive listing of construction deficiencies. If the association has concerns with regards to such matters, the advice of appropriately qualified specialists should be sought. The survey also relies upon the Association's CC & R's and information supplied by other parties, which may have included one or more of the following: the association's community manager; the board of directors; owners/occupants; contractors; and specialist consultants. The results are based upon the experience of the inspector, contractor bids and published cost estimating information (with local adjustment factors).

Invariably some assumptions must be made in the compilation of this type of report. Anticipated events may not materialize, and unpredictable circumstances could well occur. This report should only be considered as a tool for assistance in compilation of the association's budget and not as an all-encompassing prediction of future events. Rates of deterioration and repair/replacement costs frequently vary, and such variations could significantly affect the content of the study. It is therefore imperative that the study be updated on a yearly basis and that a Condition Assessment be performed at least every 3 years.

DATE OF SURVEY: January 5, 2023

INSPECTOR(S): Scott Clements

OTHERS PRESENT: None



COMMERCIAL OWNERS ASSOCIATION

CATEGORY:	ROOF/DECKS	
COMPONENT(S):	CAP SHEET ROOF	ID#(S) 0101



CAP SHEET ROOF (TYPICAL)

OBSERVATIONS: *This component includes the cap-sheet roofing (flat) on each building. Conditions varied and for reporting purposes the remaining lives have been averaged. On this type of structure, 2 layers are generally permitted. However, if the association should decide to re-roof over the existing roofing, experience dictates that the typical useful life of the new materials would be reduced by approximately one third (33%). The average component cost and typical useful life reflects removal of the existing roofing prior to the installation of the new roofing.*

TYPICAL USEFUL LIFE:	12 YEAR(S)
ESTIMATED REMAINING LIFE:	3 YEAR(S)
AVERAGE COMPONENT COST:	\$ 240,250

TO PROTECT YOUR INVESTMENT: *Periodic maintenance should include an examination for, and resealing of any separated laps and seams. All flashings should also be regularly examined and resealed as necessary. Any roof drains should be maintained in a clean and operational condition at all times to prevent damming, water retention and associated leakage. A maintenance contract with a licensed roofing contractor is strongly recommended.*

CATEGORY:	ROOF/DECKS	
COMPONENT(S):	STANDING SEAM ROOF	ID#(S) 0102



STANDING SEAM ROOF (TYPICAL)

OBSERVATIONS: *This component includes the standing seam galvanized roofing (sloped/metal) over the trash enclosures. It would typically have a life expectancy in excess of 30 years and therefore no amount has been budgeted for its replacement at this time.*

TYPICAL USEFUL LIFE:	30+ YEAR(S)
ESTIMATED REMAINING LIFE:	30+ YEAR(S)
AVERAGE COMPONENT COST:	\$ 0

TO PROTECT YOUR INVESTMENT: *Little by way of maintenance can be performed for this component other than eventual painting. As the painting cycle would be somewhat unpredictable, it is recommended that the situation be monitored and funds for painting (when necessary) be supplied from the Contingency Reserve.*

CATEGORY:	ROOF/DECKS	
COMPONENT(S):	SKYLIGHTS	ID#(S) 0103



SKYLIGHTS (TYPICAL)

OBSERVATIONS: *This component includes the Plexiglas skylights. They appeared to be in average condition.*

TYPICAL USEFUL LIFE:	24 YEAR(S)
ESTIMATED REMAINING LIFE:	12 YEAR(S)
AVERAGE COMPONENT COST:	\$ 51,900

TO PROTECT YOUR INVESTMENT: *The skylights should be re-caulked on an as-needed basis to prevent leakage (minor expenditure – operating cost).*

CATEGORY:	STRUCTURE	
COMPONENT(S):	FOUNDATIONS/STRUCTURAL FRAME	ID#(S) 0201



FOUNDATIONS/STRUCTURAL FRAME (TYPICAL)

OBSERVATIONS: *This component includes the foundations and structural frame, along with the exterior surfaces. We were informed of repairs to wall cracks in 2016. Provided there are no major catastrophes, the proper drainage principles are maintained and that structural pest control procedures are adhered to (see component ID #0202), this would normally be considered to be a lifetime component for which no reserve budget would be called for.*

TYPICAL USEFUL LIFE:	30+ YEAR(S)
ESTIMATED REMAINING LIFE:	30+ YEAR(S)
AVERAGE COMPONENT COST:	\$ 0

TO PROTECT YOUR INVESTMENT: *It is important that all grade levels be maintained 4-6 inches below the lowest edge of the structural frame. In addition, all grading should be properly sloped away from the structures for drainage and all downspouts should discharge onto hardscape areas or splash blocks such that rainwater is directed away from the structures.*

CATEGORY:	STRUCTURE	
COMPONENT(S):	STRUCTURAL PEST CONTROL	ID#(S) 0202



STRUCTURAL PEST CONTROL (TYPICAL)

OBSERVATIONS: *This component addresses the need for fumigation of each building. When and where an infestation of wood destroying pests or organisms occurs, and how severe the infestation will be, is difficult to predict. The California Department of Real Estate (DRE) suggests that annual inspections be performed to discover any infestation in its early stages before it becomes a serious problem. As these buildings have been primarily constructed of concrete and steel, no funding for complete fumigation has been provided. It is recommended that any necessary treatments be funded on an as-needed basis from the operating account. It is also suggested that the association seek the services of a licensed pest control operator for further evaluation and recommendations.*

TYPICAL USEFUL LIFE:	30+ YEAR(S)
ESTIMATED REMAINING LIFE:	30+ YEAR(S)
AVERAGE COMPONENT COST:	\$ 0

TO PROTECT YOUR INVESTMENT: *It is suggested that a regular and on-going maintenance program be established with a reputable licensed pest control operator. Such a program can minimize the necessity for fumigation. In addition, loose or cracked siding or stucco, peeling paint and gaps at trim around windows and doors should be repaired accordingly as to prevent moisture from making its way into the framing and providing an environment for termite infestation, fungus, and/or mold. It is recommended that planned inspection(s) be performed prior to repainting being done in order to identify & correct/repair these situations. Other situations that should be monitored with respect to termite infestation include low foundation walls, cracks in foundation walls, leaking pipes, over-watered landscape surrounding the structure, and damaged or nonexistent gutters and downspouts that discharge near the perimeter of the structures.*

CATEGORY:	<i>PAINT</i>	
COMPONENT(S):	<i>EXTERIOR FLATWORK</i>	ID#(S) 0301



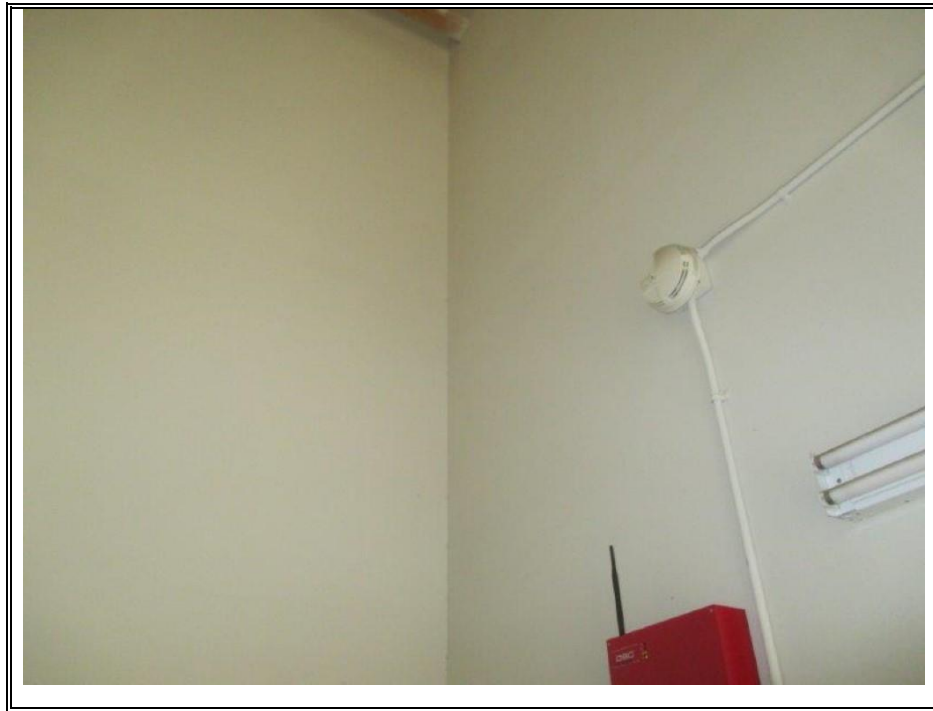
EXTERIOR FLATWORK (TYPICAL)

OBSERVATIONS: *This component includes the painted concrete surfaces on the buildings and the block walls. We were informed they were painted in 2014 and they appeared to be in average condition.*

TYPICAL USEFUL LIFE:	10 YEAR(S)
ESTIMATED REMAINING LIFE:	5 YEAR(S)
AVERAGE COMPONENT COST:	\$ 24,100

TO PROTECT YOUR INVESTMENT: *Cleaning and periodic "touch-up" of peeling and damaged surfaces is recommended for appearance, protection of the underlying component and prevention of termite infestation. All peeling paint should be sanded / scraped and bare areas properly primed prior to any finish paint. Any splits and cracks should be sealed with appropriate materials. In addition, all openings of windows and doors should be examined prior to painting and re-caulked if required.*

CATEGORY:	PAINT	
COMPONENT(S):	INTERIOR FLATWORK	ID#(S) 0302



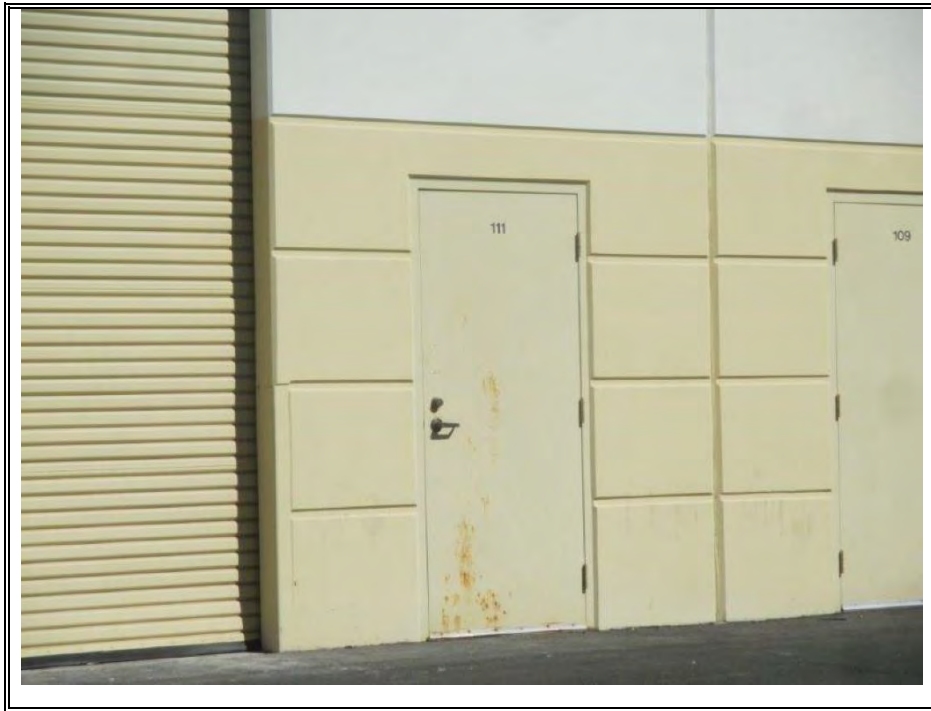
INTERIOR FLATWORK (TYPICAL)

OBSERVATIONS: *This component includes the painted surfaces of the interior of the electrical rooms. They appeared to be in average condition. It is recommended that painting be performed on an as-needed basis and funded from the operating account.*

TYPICAL USEFUL LIFE:	N/A YEAR(S)
ESTIMATED REMAINING LIFE:	N/A YEAR(S)
AVERAGE COMPONENT COST:	\$ 0

TO PROTECT YOUR INVESTMENT: *Cleaning and periodic "touch-up" of peeling and damaged surfaces is recommended for appearance, protection of the underlying component and prevention of termite infestation. All peeling paint should be sanded / scraped and bare areas properly primed prior to any finish paint. Any splits and cracks should be sealed with appropriate materials. In addition, all openings of windows and doors should be examined prior to painting and re-caulked if required.*

CATEGORY:	<i>PAINT</i>	
COMPONENT(S):	<i>DOORS</i>	ID#(S) 0303



DOORS (TYPICAL)

OBSERVATIONS: *This component includes the painted surfaces of the exteriors of the individual unit doors as well as both sides of the common area doors. We were informed they were painted in 2014 and they appeared to be in an aged condition.*

TYPICAL USEFUL LIFE:	5 YEAR(S)
ESTIMATED REMAINING LIFE:	0 YEAR(S)
AVERAGE COMPONENT COST:	\$ 1,550

TO PROTECT YOUR INVESTMENT: *Cleaning and periodic "touch-up" of peeling and damaged surfaces is recommended for appearance, protection of the underlying component and prevention of termite infestation. All peeling paint should be sanded / scraped and bare areas properly primed prior to any finish paint. Any splits and cracks should be sealed with appropriate materials.*

CATEGORY:	<i>PAINT</i>	
COMPONENT(S):	<i>METAL</i>	ID#(S) 0304



METAL (TYPICAL)

OBSERVATIONS: *This component includes the painted surfaces of the exterior metal trash bins and roll-up doors. We were informed they were painted in 2014 and they appeared to be in varied conditions. For reporting purposes, the remaining lives have been averaged.*

TYPICAL USEFUL LIFE:	5 YEAR(S)
ESTIMATED REMAINING LIFE:	2 YEAR(S)
AVERAGE COMPONENT COST:	\$ 8,350

TO PROTECT YOUR INVESTMENT: *Cleaning and periodic "touch-up" of peeling and damaged surfaces is recommended for appearance, and for protection of the underlying component. All peeling paint should be sanded / scraped and bare areas properly primed prior to any finish paint. Any splits and cracks should be sealed with appropriate materials.*

CATEGORY:	<i>PAINT</i>	
COMPONENT(S):	<i>PARKING STRIPES</i>	ID#(S) 0305



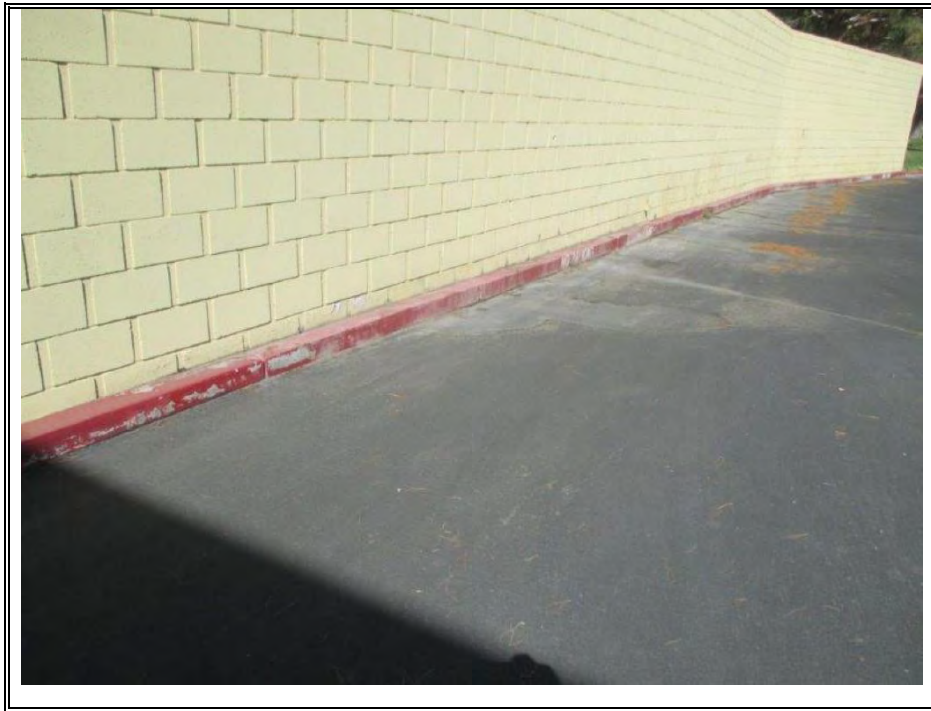
PARKING STRIPES (TYPICAL)

OBSERVATIONS: *This component includes the painted parking stripes that delineate the individual parking spaces at the parking lot. We were informed they were painted in 2014 and they appeared to be in varied conditions. For reporting purposes, the remaining lives have been averaged.*

TYPICAL USEFUL LIFE:	5 YEAR(S)
ESTIMATED REMAINING LIFE:	1 YEAR(S)
AVERAGE COMPONENT COST:	\$ 3,550

TO PROTECT YOUR INVESTMENT: *Cleaning and periodic "touch-up" of peeling and damaged surfaces is recommended for appearance. All peeling paint should be sanded / scraped prior to any finish paint.*

CATEGORY:	PAINT	
COMPONENT(S):	CURBS	ID#(S) 0306



CURBS (TYPICAL)

OBSERVATIONS: *This component includes the painted red curbs at the parking lot. We were informed they were painted in 2014 and they appeared to be in an aged condition.*

TYPICAL USEFUL LIFE:	5 YEAR(S)
ESTIMATED REMAINING LIFE:	0 YEAR(S)
AVERAGE COMPONENT COST:	\$ 1,150

TO PROTECT YOUR INVESTMENT: *Cleaning and periodic "touch-up" of peeling and damaged surfaces is recommended for appearance. All peeling paint should be sanded / scraped prior to any finish paint.*

CATEGORY:	<i>ELECTRICAL</i>	
COMPONENT(S):	<i>FIRE ALARM SYSTEM</i>	ID#(S) 0401



FIRE ALARM SYSTEM (TYPICAL)

OBSERVATIONS: *This component includes the fire alarm systems in the utility room of each building. We were informed one was replaced in 2018 and, as conditions varied, for reporting purposes their remaining lives have been averaged.*

TYPICAL USEFUL LIFE:	<i>20 YEAR(S)</i>
ESTIMATED REMAINING LIFE:	<i>10 YEAR(S)</i>
AVERAGE COMPONENT COST:	<i>\$ 3,400</i>

TO PROTECT YOUR INVESTMENT: *Little by way of maintenance can be performed for this component. However, it should be professionally inspected on a regular (suggested annual) basis.*

CATEGORY:	<i>ELECTRICAL</i>	
COMPONENT(S):	<i>LIGHTING-EXTERIOR</i>	ID#(S) 0402



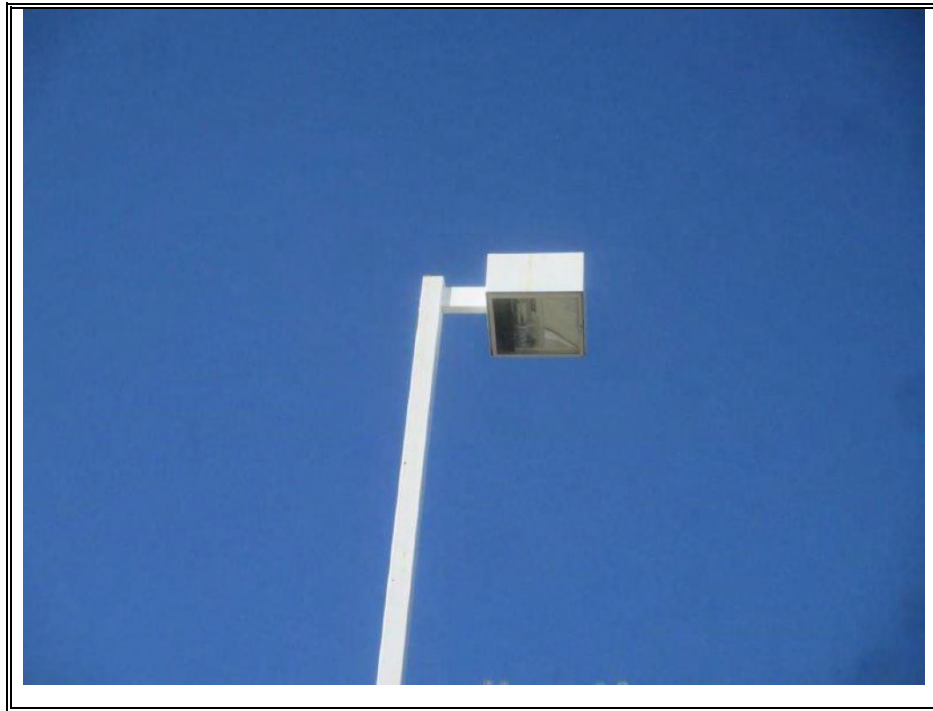
LIGHTING-EXTERIOR (TYPICAL)

OBSERVATIONS: *This component includes the various sized light fixtures at the exterior of each building. Inspection was limited (viewed from a distance) however, we were informed they were converted to LED in 2018 and they appeared to be in good condition. The external location of these fixtures usually makes them subject to a greater rate of deterioration due to exposure to the elements. Also, it is often desirable to replace these fixtures as they eventually become dated and/or more energy efficient options become available.*

TYPICAL USEFUL LIFE:	<i>20 YEAR(S)</i>
ESTIMATED REMAINING LIFE:	<i>19 YEAR(S)</i>
AVERAGE COMPONENT COST:	<i>\$ 9,150</i>

TO PROTECT YOUR INVESTMENT: *Maintenance would entail periodically checking the fixtures to make sure that they are secure. Also, occasional examination for, and changing of burned out bulbs would be prudent. In addition, cleaning of the fixtures is recommended on an as-needed basis.*

CATEGORY:	<i>ELECTRICAL</i>	
COMPONENT(S):	<i>LIGHTING-PARKING LOT</i>	ID#(S) 0403



LIGHTING-PARKING LOT (TYPICAL)

OBSERVATIONS: *This component includes the box-type pole light fixtures at the parking lot. They appeared to be in good condition for their age. These types of fixtures are typically subject to a greater level of deterioration from the elements.*

TYPICAL USEFUL LIFE:	25 YEAR(S)
ESTIMATED REMAINING LIFE:	11 YEAR(S)
AVERAGE COMPONENT COST:	\$ 15,250

TO PROTECT YOUR INVESTMENT: *Maintenance would entail periodically checking the fixtures to make sure that they are secure. Also, occasional examination for, and changing of burned out bulbs would be prudent. In addition, cleaning of the fixtures is recommended on an as-needed basis.*

CATEGORY:	LANDSCAPE/HARDSCAPE	
COMPONENT(S):	ASPHALT SEAL COAT	ID#(S) 0501



ASPHALT SEAL COAT (TYPICAL)

OBSERVATIONS: *This component includes the seal coat for the parking lot. We were informed it was applied in 2014 and it appeared to be in an average condition for its age. While a relatively inexpensive procedure, the seal coat serves to enhance the longevity of the underlying asphalt as well as its appearance by replenishing the oil and fine aggregates of the underlying asphalt. It is important that this procedure always be undertaken within 6 months of any overlay or resurfacing and performed thereafter on a 3 – 5 year cycle (typically a warranty requirement). See component ID #0502 for further comments.*

TYPICAL USEFUL LIFE:	5 YEAR(S)
ESTIMATED REMAINING LIFE:	1 YEAR(S)
AVERAGE COMPONENT COST:	\$ 6,750

TO PROTECT YOUR INVESTMENT: *All asphalt areas should be examined at least annually and any cracks exceeding ¼ inch should be repaired with a rubberized sealant compound. Irrigation run-off can accelerate degradation and should be prevented / diverted.*

CATEGORY:	LANDSCAPE/HARDSCAPE	
COMPONENT(S):	ASPHALT REPLACEMENT	ID#(S) 0502



ASPHALT REPLACEMENT (TYPICAL)

OBSERVATIONS: *This component provides for replacement of the asphalt surfaces described in component ID #0501. The surfaces appeared to be in an aging condition. Aging, oxidation, and vehicle traffic eventually cause cracking, ponding and uneven pavement. Such surface irregularities may result in improper drainage and compromised driving surfaces. Asphalt replacement entails removal of the existing pavement, grading and compaction of the existing aggregate base material, and the installation of hot asphalt pavement. It is recommended that pavement engineering be obtained prior to replacement in order to guarantee that new pavement specifications will meet or exceed the needs of the common area pavement. In conjunction with replacement, seal coat should be performed within 6 months and then at 3 – 5 year intervals thereafter (see component ID #0501). It is recommended that prior to replacement, further evaluation be obtained from a soils/geotechnical engineer.*

TYPICAL USEFUL LIFE:	20 YEAR(S)
ESTIMATED REMAINING LIFE:	8 YEAR(S)
AVERAGE COMPONENT COST:	\$ 327,850

TO PROTECT YOUR INVESTMENT: *All asphalt areas should be examined at least annually and any cracks exceeding ¼ inch should be repaired with a rubberized sealant compound. Irrigation run-off can accelerate degradation and should be prevented / diverted.*

CATEGORY:	LANDSCAPE/HARDSCAPE	
COMPONENT(S):	SWALES	ID#(S) 0503



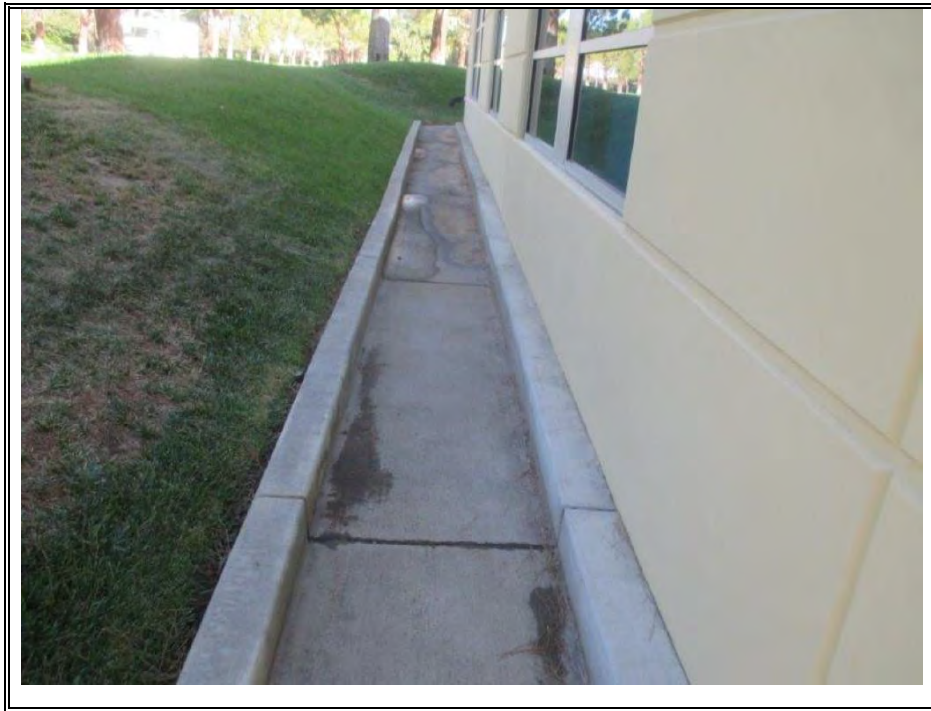
SWALES (TYPICAL)

OBSERVATIONS: *This component includes the concrete "V" drains (swales) in the asphalt parking area. They appeared to be in average condition. However, cracks and poor drainage can result in water undermining both the swales and asphalt with associated failures. It is recommended that replacement be coordinated with replacement of the asphalt.*

TYPICAL USEFUL LIFE:	30 YEAR(S)
ESTIMATED REMAINING LIFE:	12 YEAR(S)
AVERAGE COMPONENT COST:	\$ 15,250

TO PROTECT YOUR INVESTMENT: *It is essential to regularly repair/seal any cracks in the concrete.*

CATEGORY:	LANDSCAPE/HARDSCAPE	
COMPONENT(S):	CONCRETE CHANNEL DRAIN	ID#(S) 0504



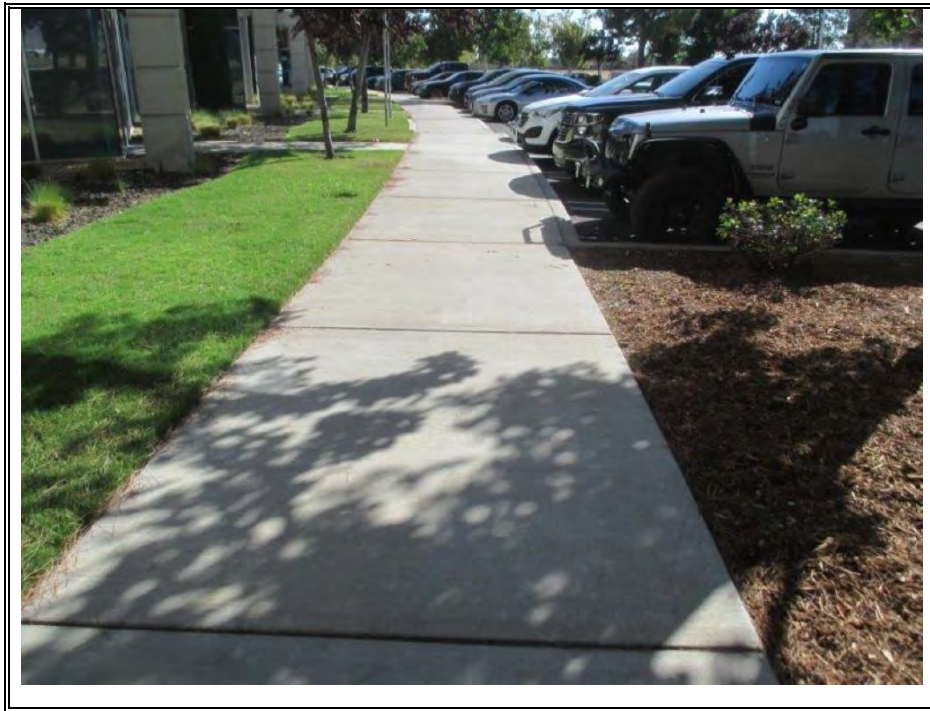
CONCRETE CHANNEL DRAIN (TYPICAL)

OBSERVATIONS: *This component includes the concrete channel drain on the west side of building 32913, which serves to divert water runoff to the parking lot swales and away from the adjoining building. It appeared to be in good condition, and for purposes of reporting would be considered to be a lifetime component*

TYPICAL USEFUL LIFE:	30+ YEAR(S)
ESTIMATED REMAINING LIFE:	30+ YEAR(S)
AVERAGE COMPONENT COST:	\$ 0

TO PROTECT YOUR INVESTMENT: *It is essential to regularly repair/seal any cracks in the concrete.*

CATEGORY:	LANDSCAPE/HARDSCAPE	
COMPONENT(S):	CONCRETE FLATWORK	ID#(S) 0505



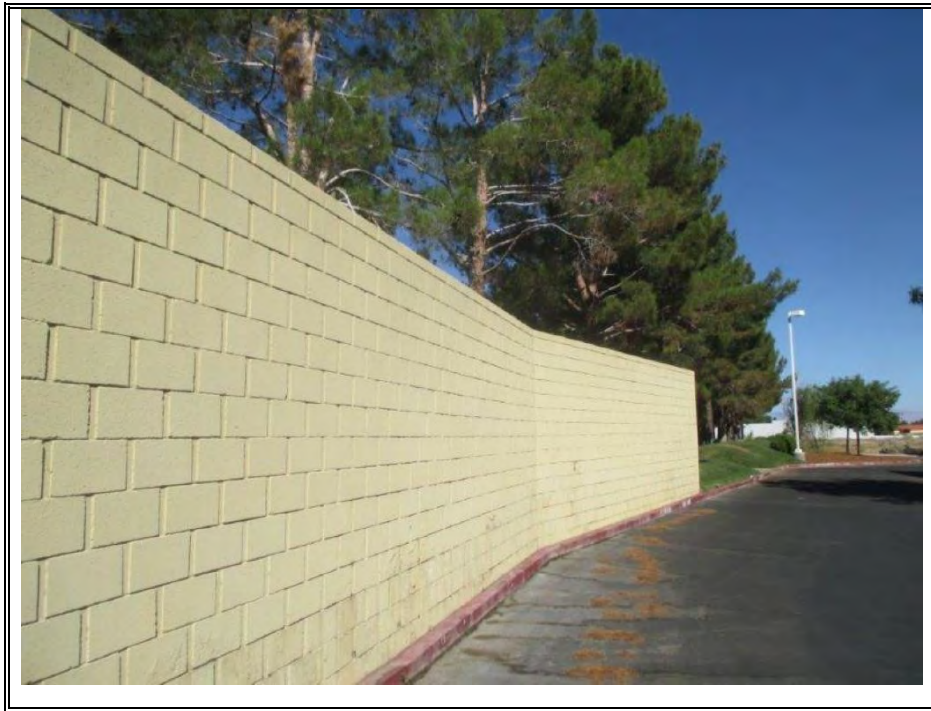
CONCRETE FLATWORK (TYPICAL)

OBSERVATIONS: *This component includes the concrete driveways, walkways and paths throughout the complex. Although they appeared to be in good condition, they should be regularly monitored for cracking and vertical displacement, which can create potential trip hazards (and liability for the association). Otherwise, concrete areas are generally considered a lifetime component and therefore no amount has been budgeted for the replacement of such. Occasional repairs would typically be funded from the operating account.*

TYPICAL USEFUL LIFE:	30+ YEAR(S)
ESTIMATED REMAINING LIFE:	30+ YEAR(S)
AVERAGE COMPONENT COST:	\$ 0

TO PROTECT YOUR INVESTMENT: *Any sections observed to be vertically displaced should be repaired immediately upon discovery. Emphasis should be placed on areas adjacent to trees, as their roots are often the culprits of such damage. As the need for such repairs is difficult to predict, the associated costs should be disbursed either from the association's operating account or the contingency reserve (see "Component Replacement Schedule" in the Reserve Funding section of this report as well as the Glossary for more on the contingency reserve).*

CATEGORY:	LANDSCAPE/HARDSCAPE	
COMPONENT(S):	CONCRETE BLOCK WALLS	ID#(S) 0506



CONCRETE BLOCK WALLS (TYPICAL)

OBSERVATIONS: *This component includes the concrete block walls throughout the development. They appeared to be in average condition. It is recommended that any repair / replacement be performed on an as-needed basis and funded from the operating account. No amount has been provided for complete replacement as they would typically have a life well in excess of the scope of this projection and would therefore be considered lifetime components.*

TYPICAL USEFUL LIFE:	30+ YEAR(S)
ESTIMATED REMAINING LIFE:	30+ YEAR(S)
AVERAGE COMPONENT COST:	\$ 0

TO PROTECT YOUR INVESTMENT: *Maintenance would entail monitoring for cracks on a periodic basis. Any necessary repairs should be made accordingly.*

CATEGORY:	LANDSCAPE/HARDSCAPE	
COMPONENT(S):	IRRIGATION CONTROLLER	ID#(S) 0507



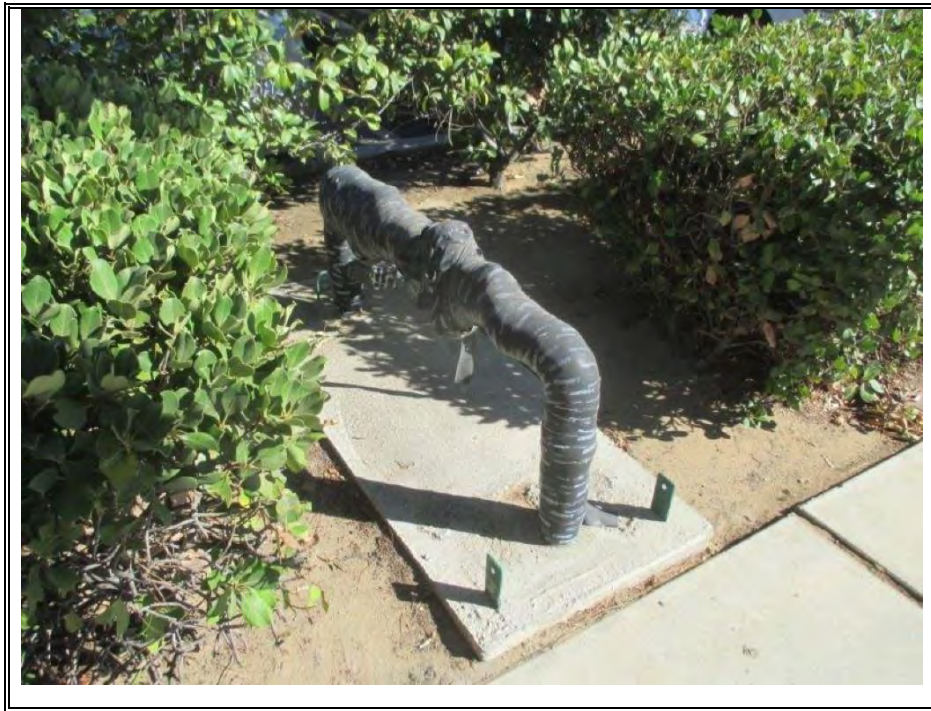
IRRIGATION CONTROLLER (TYPICAL)

OBSERVATIONS: *This component includes an irrigation controller. It was inaccessible for inspection (locked), and for purposes of reporting the condition, number of stations and remaining life has been estimated. It tends to have a more predictable life expectancy, and the average component cost provides for its replacement. However, average life expectancies cannot be predicted for the other sprinkler components or automatic valve actuation systems. Repairs/replacements of such systems usually occur on an ongoing basis and should be covered under the operating account.*

TYPICAL USEFUL LIFE:	15 YEAR(S)
ESTIMATED REMAINING LIFE:	3 YEAR(S)
AVERAGE COMPONENT COST:	\$ 3,000

TO PROTECT YOUR INVESTMENT: *The irrigation system should be maintained in such a manner so as to prevent overspray onto, and water accumulations adjacent to the structures. Occasional removal and cleaning of sprinkler heads that become clogged with debris may be performed by the gardening service in order to prevent premature death of shrubbery/ground cover.*

CATEGORY:	LANDSCAPE/HARDSCAPE	
COMPONENT(S):	BACK FLOW PREVENTERS	ID#(S) 0508



BACK FLOW PREVENTERS (TYPICAL)

OBSERVATIONS: *This component includes the back-flow preventers, comprised of 1 @ 1¼", 1 @ 1½", and 1 @ 2", which are part of the irrigation system. The actual performance life would be difficult to determine. However, a rough time frame has been provided for budgeting purposes.*

TYPICAL USEFUL LIFE:	15 YEAR(S)
ESTIMATED REMAINING LIFE:	3 YEAR(S)
AVERAGE COMPONENT COST:	\$ 2,100

TO PROTECT YOUR INVESTMENT: *Little can be performed by way of maintenance for this type of component.*

CATEGORY:	LANDSCAPE/HARDSCAPE	
COMPONENT(S):	MAJOR TREE TRIMMING/REMOVAL	ID#(S) 0509



MAJOR TREE TRIMMING/REMOVAL (TYPICAL)

OBSERVATIONS: *This component addresses major tree trimming / removal. We were informed of trimming being done in 2017. There were no major problems observed (or reported to us) with respect to structural damage from any trees. However, we recommend that the situation be monitored, and removal of trees should be anticipated in the future if necessary. Close proximity of trees to the structures can become destructive to foundations and walkways. It is recommended that trimming / removal be performed on an as-needed basis and funded from the operating account. Any necessary adjustments can be included in future Reserve Study Updates. Study Updates.*

TYPICAL USEFUL LIFE:	N/A YEAR(S)
ESTIMATED REMAINING LIFE:	N/A YEAR(S)
AVERAGE COMPONENT COST:	\$ 0

TO PROTECT YOUR INVESTMENT: *A program of annual tree trimming (operating budget item) should be instituted to minimize the need for major tree topping which may be detrimental to both the growth and stability of the trees.*

CATEGORY:	LANDSCAPE/HARDSCAPE	
COMPONENT(S):	LANDSCAPE REMODEL	ID#(S) 0510



LANDSCAPE REMODEL (TYPICAL)

OBSERVATIONS: *This component addresses the landscaping throughout the development. We were informed of landscape / irrigation modifications being done in 2017/2018. It is recommended that landscape modifications be performed on an as-needed basis and funded from the operating account.*

TYPICAL USEFUL LIFE:	N/A YEAR(S)
ESTIMATED REMAINING LIFE:	N/A YEAR(S)
AVERAGE COMPONENT COST:	\$ 0

TO PROTECT YOUR INVESTMENT: N/A.

CATEGORY:	MISCELLANEOUS	
COMPONENT(S):	MAILBOXES	ID#(S) 0601



MAILBOXES (TYPICAL)

OBSERVATIONS: *This component addresses the pedestals of aluminum mailboxes. We were informed they are the responsibility of the U.S.P.S.*

TYPICAL USEFUL LIFE:	N/A YEAR(S)
ESTIMATED REMAINING LIFE:	N/A YEAR(S)
AVERAGE COMPONENT COST:	\$ 0

TO PROTECT YOUR INVESTMENT: N/A.

CATEGORY:	MISCELLANEOUS	
COMPONENT(S):	SIGNS	ID#(S) 0602



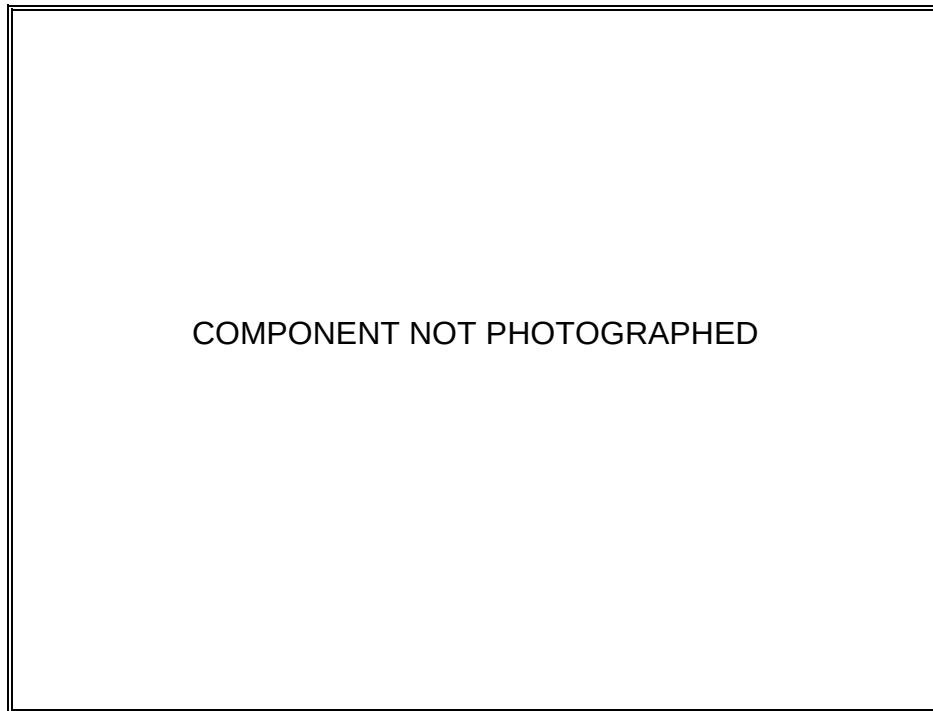
SIGNS (TYPICAL)

OBSERVATIONS: *This component includes the metal handicap signs at the common parking areas. They appeared to be in good condition for their age.*

TYPICAL USEFUL LIFE:	20 YEAR(S)
ESTIMATED REMAINING LIFE:	9 YEAR(S)
AVERAGE COMPONENT COST:	\$ 600

TO PROTECT YOUR INVESTMENT: *Little can be performed by way of maintenance for this type of component.*

CATEGORY:	CONTINGENCY RESERVE	
COMPONENT(S):	GENERAL - 5%	ID#(S) 0701



GENERAL - 5% (TYPICAL)

OBSERVATIONS: *While efforts have been made to ensure a reasonable level of precision, it is seldom possible to anticipate every expense/replacement that will be incurred by an association during an operating year. Also, it is difficult to accurately predict the cost of some items that are anticipated, due to unforeseen circumstances with respect to removal/installation, replacement with a different material than originally budgeted for, economic factors, etc. Therefore, it is prudent to include a contingency amount in the reserve budget. The Department of Real Estate (DRE) suggests a contingency equal to 3% of the annual budget (5% for a conversion from an apartment complex and 10% for a high-rise building over 70 feet). It is our opinion that a 5% contingency factor should be included in the reserve budget, and therefore a provision for this has been included (see Component Inventory page for dollar amount).*

TYPICAL USEFUL LIFE:	N/A YEAR(S)
ESTIMATED REMAINING LIFE:	N/A YEAR(S)
AVERAGE COMPONENT COST:	\$ SEE PG 4

TO PROTECT YOUR INVESTMENT: N/A.

GLOSSARY

ACCUMULATED DEPRECIATION	Amount of each component that has been used up at a point in time. The total accumulated depreciation equates to a "fully funded balance" (per CAI Standards definition).
ANNUAL DEPRECIATION	The current cost of a component divided by its typical life expectancy.
CASH FLOW METHOD	A method of developing a reserve funding plan where contributions to the reserve fund are designed to offset the variable annual expenditures. Different reserve funding plans are tested against the anticipated reserve expenses to achieve a desired funding goal.
CASH RESERVES	Funds available for major repair, restoration, replacement, or maintenance of the common components.
CC&R's	The covenants, conditions and restrictions, which govern the day to day operations of a facility.
COMPONENTS	The common area assets that require major repair, restoration, replacement, or maintenance. Typically: 1) Association responsibility, 2) with limited useful life expectancies, 3) predictable remaining useful life expectancies, 4) above a minimum threshold cost, and 5) as required by local codes.
COMPONENT INVENTORY	A list of components subject to degradation at a somewhat predictable rate within the projection period.
CONDITION ASSESSMENT	The evaluation of the current condition of the components based on observed or reported characteristics.
CONTINGENCY RESERVE ALLOWANCE	Additional funds set aside to allow for unforeseeable situations or variations. It is a percentage based on total expenditures anticipated each year.
CU. FT.	Measured in cubic feet.
CURRENT COST	Average cost for major repair, restoration, replacement, or maintenance of a component.
CURRENT RESERVE BALANCE	Amount of funds in reserve accounts estimated as of the beginning of the Reserve Study.
DEFICIT	The amount that the fully funded balance exceeds the actual (or projected) reserve balance.
EXCLUSIVE USE COMMON AREA	That part of a common area that has been designated for the individual use by a single interest.
FINANCIAL ANALYSIS	The portion of a Reserve Study (one of two parts) where current status of the reserves (measured as cash or Percent Funded) and a recommended reserve contribution rate (reserve funding plan) are derived, and the projected reserve income and expenditures over time are presented. It should illustrate the financial ability to fund future major repair or replacement of those common components that are subject to degradation within a specified period.
FISCAL YEAR	The twelve-month financial reporting period, which may not necessarily be a calendar year. Example: July 1, 2018 through June 30, 2019.
INFLATION FACTOR	An allowance for anticipated price increases based upon a 10-year average of the Consumer Price Index published by the U.S. Department of Labor. It is set at the beginning of each year.
INTEREST RATE ASSUMPTIONS	Average interest rate currently being earned from financial institutions where reserve funds are held.
LIFE CYCLE	The normal lifetime of a component, assuming it is properly installed / constructed and maintained.
LIFETIME COMPONENT	An element with a life expectancy that extends beyond the projection period of the study.
LIN. FT.	Measured in linear feet.
PERCENT FUNDED	The ratio, at a point of time (typically the beginning of the fiscal year), of the actual (or projected) reserve balance to the accumulated depreciation of all the components (i.e. amount that ideally should be in reserves), expressed as a percentage.
PHYSICAL INSPECTION	A visual examination of accessible common components subject to degradation within the projection period.
PRO FORMA OPERATING BUDGET	A projection of operating expenditures for the year.
PROJECTION PERIOD	The span (in years) over which the study forecasts potential reserve expenditures and liabilities.
REGULAR ASSESSMENT	Budgeted amounts assessed to all owners (oftentimes referred to as "Dues"), including the reserve contribution – typically assessed monthly, quarterly, or annually.
REMAINING LIFE	The number of remaining years of a components' anticipated life expectancy based upon current condition and degradation factors.
REPLACEMENT CYCLE	See "Life Cycle" (i.e. frequency of repair/replacement within forecast).
RESERVE CONTRIBUTION	That portion of the "regular" assessment allocated to the reserve fund.
RESERVE STATUS	The present ability to fund future major repair or replacement of its common components.
SPECIAL ASSESSMENT	An assessment levied in addition to regular assessments, often regulated by governing documents or local statutes.
SQ. FT.	Measured in square feet.
SURPLUS	An actual (or projected) reserve balance greater than the fully funded balance.
USEFUL LIFE (UL)	The estimated time in years that a component is expected to serve its intended function if properly constructed in its present application or installation.